

ANNUAL
REPORT
2025

alterfin 

COLOPHON



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Cocoa producers,
Côte d'Ivoire
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1

Foreword

Dear reader,

2025 has been yet another year in which, despite an unstable climate, we have managed to make progress and achieve so much. That's all thanks to you, to the hard-working team at Alterfin, and to our incredibly resilient partners.

While the news over the past year has been disheartening at times, the economies of developing countries have held up relatively well and the same is true of our partners. In fact, our portfolio of investments under management and advisory has reached its highest level since Alterfin was founded (expressed in US dollars, the currency of most of our financing). The slowdown in the first half of the year was followed by a remarkable recovery in the second half.

This is a clear reflection of that resilience: regardless of the uncertain climate, our partners are moving forward, investing, and looking to grow. Because of that, 2025 ended with a thriving portfolio and a bright outlook for 2026.

What explains our partners' enduring strength? This is largely down to their discipline and adaptability: both are needed, whether they are navigating volatile agricultural markets while continuing to pay their producers or carefully managing risks while providing vulnerable rural customers with vital loans.

This ability to grow sustainably despite such constraints eventually pays off: these organizations become more credible over the years and attract additional lenders, as was the case again for several of them last year.

The resilience of our partners is reflected in the strength of our balance sheet: despite geopolitical instability, our risk indicators are still in the green and the overall quality of the portfolio has remained stable.

The only negative is that our capital has slightly decreased, for the first time ever. Is this an unfortunate consequence of the abolition of the tax break for investments in shares of approved development funds for Belgian cooperative members? Undoubtedly. But neither these tax breaks nor financial returns are the primary motivation for the vast majority of our co-op members.

What matters most to them is the impact of their shares. To better assess and achieve this, in 2025, we developed the concept of "human return", along with a tool that enables our co-op members to calculate this return on their investments. Because although our members are willing to accept modest financial returns, Alterfin has a responsibility to demonstrate the social value created by its investment decisions. In measuring human yield, we go significantly further than most institutions in the sector.

Finally, 2025 was the year in which I took the helm at Alterfin, just as the cooperative was celebrating its 30th anniversary.

I am determined to help the organization continue its outstanding work, by combining impact with financial sustainability. I intend to recognize both opportunities and obstacles, and to move forward with optimism, keeping our strengths and capabilities in mind. These include the discipline we share with our partners and our ability to measure our impact clearly.

Above all, we have an unwavering commitment to providing capital where it truly strengthens human resilience and dignity.

Thank you for joining us as we work to achieve this.

Cooperatively yours,

Luc Cool
CEO

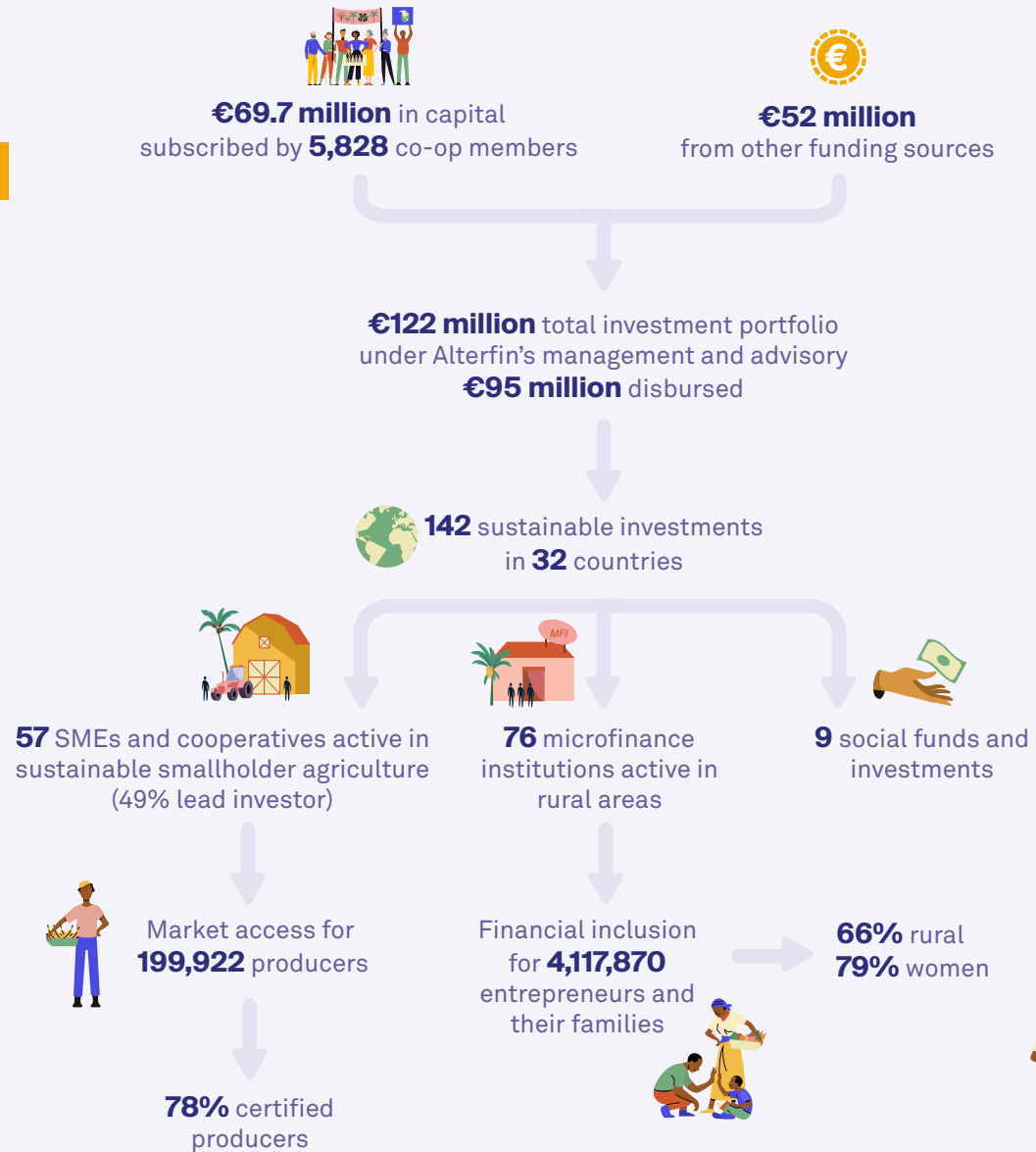


Chili pepper producer,
Cambodia
© Alterfin

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Alterfin in a nutshell

KEY-FIGURES





MISSION

Alterfin aims to improve the livelihoods and living conditions of socially and economically disadvantaged people and communities, primarily in rural areas of low- and middle-income countries worldwide.

Pineapple producers,
Nicaragua
© Alterfin

To do so, Alterfin provides financial and non-financial services to its partners by:

- 1** | mobilizing funds primarily from individual investors and socially responsible institutions;
- 2** | developing networks with organizations that share the same values;
- 3** | structuring and promoting ethical and sustainable investments.

By doing so, Alterfin contributes to the United Nations Sustainable Development Goals.



3

Our committed co-op members

As of 31 December 2025, Alterfin had 5,828 co-operative members, who together contributed 69,697,875 euros in capital. In 2025, paid-in capital decreased by 1.1 million euros.

Eighty-six percent of the capital is held by individual co-operative members and 14% by institutional co-operative members. An individual co-operative member invests on average 10,600 euros in Alterfin, compared to an average of 54,000 euros per institutional co-operative member.

One hundred fifty-seven new members joined and strengthened our co-operative. Through their investments, they generate social and environmental impact.

SOME STATISTICS ON OUR INDIVIDUAL CO-OPERATIVE MEMBERS:



Average age of new co-operative members: **44 years**



Average investment by individual co-operative members: **€10,600**

Women **47%**



Men **53%**

BREAKDOWN OF ALTERFIN'S CAPITAL BY TYPE OF CO-OPERATIVE MEMBER



€59.8
million



5,644
individual co-op
members (type B)

€69.7
million

5,828
co-op members



€9.9
million



184
institutional co-op
members (type A)

TESTIMONIALS FROM OUR CO-OPERATIVE MEMBERS

They explain why
they chose to invest in Alterfin:



Paul,
60 years old

I discovered Alterfin while I was a member of the board of Wereldcafé, a co-operative that aims to raise public awareness of fair trade. We wanted to channel Wereldcafé's profits into a North-South project. Alterfin convinced us – so much so that I decided to invest personally as well, using my savings.

“Your money should grow,” investors say – and I agree. But does it really have to grow for your own benefit? I'm fortunate to earn a bit more than I need, so I don't require a return on that portion.

However, since I don't have the time to think about how to invest my money, most of it sits in a savings account, where it supposedly earns nothing. The truth is, we don't really know what the bank does with it.

That's why I want, at least, part of my savings – money I can do without for a while – to go towards a cause I know, and that contributes, even in a small way, to rebalancing the global economy. Even if it goes against current trends, I believe we must keep trying.



Wim,
39 years old

The more we learn about the consequences of traditional investing (stock markets, funds, etc.), the clearer it becomes that it is not leading us towards the future we want.

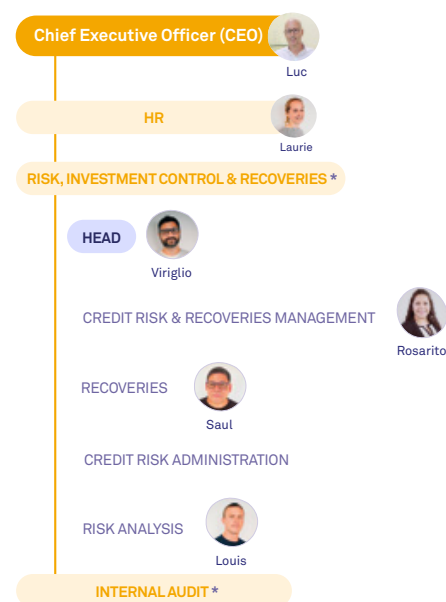
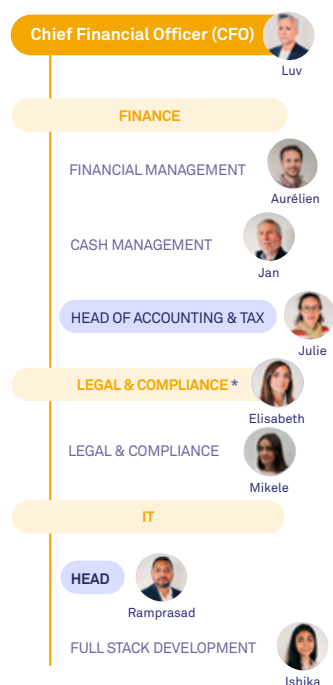
Money should be a means, not an end. I don't want my money to contribute to a future I don't believe in, but rather to an economy that respects the Earth's limits and the principle of equality among people.

What attracted me to Alterfin is its mission and its co-operative structure. In almost all companies, money is tied to power. That is not the case at Alterfin, which allows the organization to stay true to its mission.

I am not comfortable with the idea of making money at the expense of others. But you can't give everything away, either. Alterfin gives me the opportunity to actively contribute to a better world with my savings. Because money means power in this world and, therefore, it also means responsibility. Entrusting my money to Alterfin relieves me of part of that responsibility. I know it is well managed, and that gives me peace of mind.

4

Team, Governance & Experts



ALTERFIN TEAM IN 2025

Alterfin's team members are mainly based in Europe. We also have team members in Peru, Cambodia, Costa Rica, Honduras, Bolivia, Kenya, Kyrgyzstan, India, and Côte d'Ivoire.

* The Legal & Compliance Manager collaborates with the CFO on legal matters and reports independently to the Risk & Audit Committee (RAC) of the Board of Directors (BoD) on compliance issues. The Head of Risk, Investment Control & Recoveries collaborates with the CEO on investment control and recovery activities and reports independently to the RAC of the BoD on enterprise risk management matters. Finally, the Internal Audit Manager reports independently to the RAC.

THE BOARD OF DIRECTORS

AS OF
31 DECEMBER 2025



Klaartje Vandersypen

Chair

Expertise: Banking and impact investing



Elke Briers

Board Member

Expertise: Philanthropy and development



Pieter-Jan Van de Velde

Representative of Rikolto

Expertise: Impact investing, social economy and venture capital



Leslie Totté

Independent Board Member

Expertise: Impact investing, venture capital and financial management



Laetitia Counye

Independent Board Member

Expertise: Impact investing and microfinance



Dominique Morel

Representative of Humundi (formerly SOS Faim)

Expertise: Microfinance, rural development and agroecology



Maarten Loopmans

Independent Board Member

Expertise: Anthropology



Thierry Bertouille

Board Member

Expertise: International cooperation and rural development



Vanessa Galhardo-Galhetas

Independent Board Member

Expertise: Financial law, legal & compliance and corporate governance

The Board of Directors (BoD) defines Alterfin's strategic direction and is legally responsible for achieving its objectives within an acceptable risk management framework. Its members offer a range of skills required to enable Alterfin to make sound and well-informed decisions. As a source of expertise for the CEO and their team, it is the body to which the management team is accountable. The BoD, in turn, is accountable to the General Assembly. Four of its nine members are independent, and the BoD will propose to the General Assembly to increase their number.

EXTERNAL EXPERTS OF THE INVESTMENT COMMITTEE

AS OF
31 DECEMBER 2025



Albert Hofsink

Expertise: Microfinance, financial and currency management, risk management



Dasha Kuts

Expertise: Emerging markets, investment management, ESG impact, corporate governance



François Hoffait

Expertise: Microfinance, business development, general management (private sector/NGOs) in Africa and Latin America



Herman Van Mellaert

Expertise: Agronomy, biotechnology, business development, business planning



Frank Michiels

Expertise: Agriculture, biotechnology, sustainable development



Ignace Vanden Bulcke

Expertise: Corporate banking, trade finance



Joana Afonso

Expertise: Financial inclusion, inclusive green finance, impact management



Linda Toscano

Expertise: Strategic planning, operational best practices, financial management, sustainable development, social justice



Marcus Fedder

Expertise: Investment and development banking, microfinance



Matthieu Vanhove

Expertise: Banking and microfinance, general and financial management, co-operative entrepreneurship

Alterfin's Investment Committee (IC) is the body responsible for the final approval of all investments. The unique combination of financial and development expertise among its members is one of the co-operative's strengths. The IC brings the experience needed to carry out a comprehensive assessment of each partner's financing request, taking into account all relevant perspectives: operational and financial performance, as well as social and environmental impact. IC members are appointed by Alterfin's Board of Directors. All decisions taken by the IC require unanimity.

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Our carbon footprint

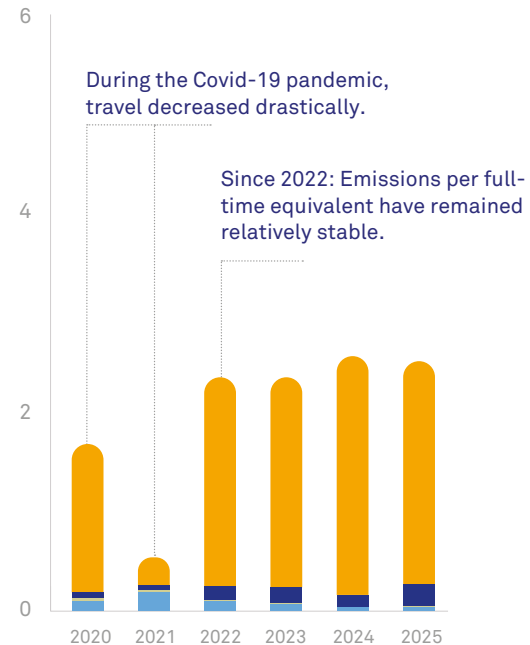
Alterfin is continuously striving for positive impact, both socially and environmentally. We apply this sustainable approach not only in our investments but also in our daily practices and internal operations. Our co-operative therefore aims to **minimize its carbon footprint as much as possible and offsets the emissions that cannot be avoided.**

In 2025, our annual CO₂ emissions remained broadly stable (-4%). After a significant decrease in 2019, linked to the decentralization of investment activities, emissions have since only fluctuated slightly from year to year. These minor variations now mainly reflect the level of portfolio activity, particularly renewals and partner monitoring.

- Air travel (missions)
- Commuting (home-office travel)
- Paper
- Offices (gas and electricity)

ANNUAL CO₂ EMISSIONS PER FULL-TIME EQUIVALENT

Tonnes of CO₂ equivalent

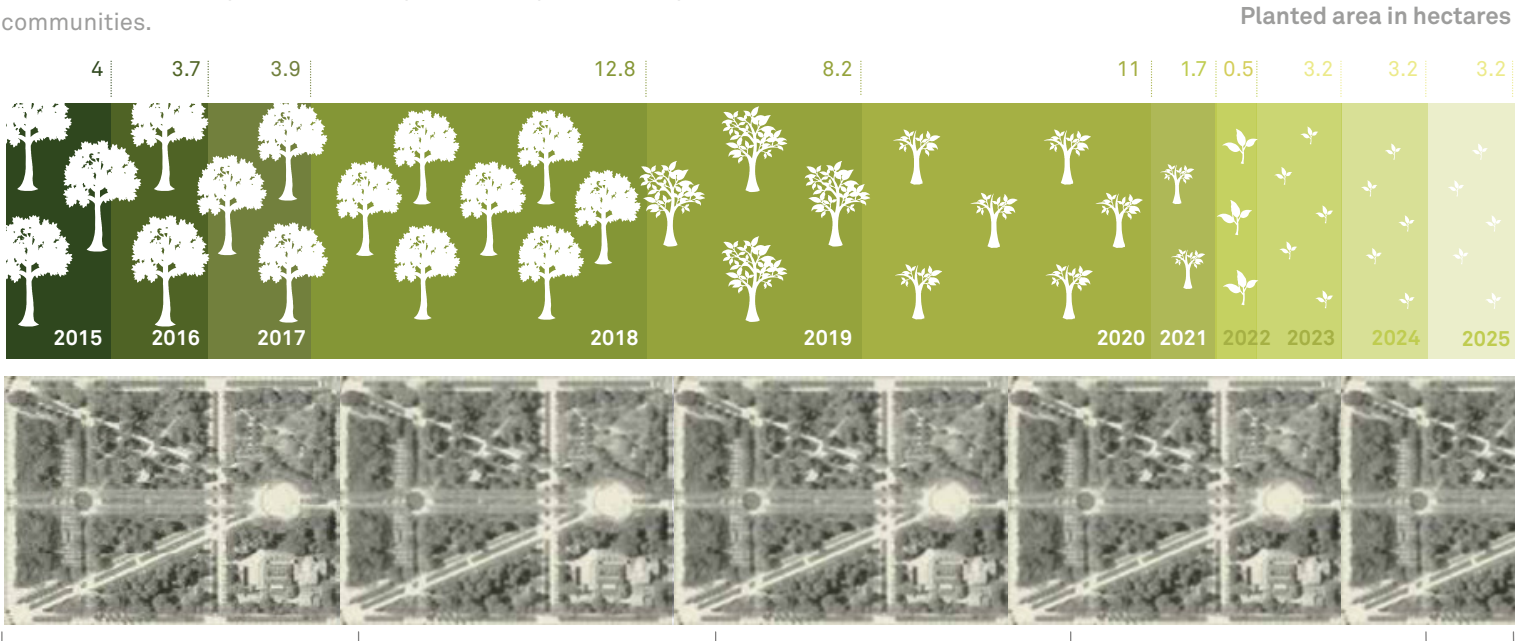


To offset its carbon impact, Alterfin started a collaboration in 2015 with its partner Acopagro, a cocoa producers' co-operative in northern Peru, in the San Martín region. Through this partnership, **we finance the planting of trees each year** by the co-operative's member producers. These plantations enable CO₂ capture equivalent to our emissions from the previous year. As such, in 2025, we planted **nearly 3,500 trees** to offset our 2024 emissions.

Since the project began, we have regularly monitored the development of these plantations. We have learned that 27% of the trees planted since 2015 have not survived, mainly due to prolonged drought and forest fires. The year 2023 was particularly abnormal, with high temperatures and strong winds that fueled the spread of fires. Ironically, **carbon offset projects are themselves affected by the climate disruptions they aim to mitigate—highlighting all the more their importance.**

CO₂ EMISSIONS
OFFSETTING

Since 2015, Alterfin has supported the planting of more than 67,500 trees. This represents an area of 56.5 hectares—more than four times the size of Brussels Park. The trees are planted on the plots of 51 producers, spread across seven communities.



6

Partnerships & Networks

CERTIFICATIONS AND LABELS

Various types of certifications attest to the ethical and sustainable nature of Alterfin's commitment—towards its co-operative members, its staff, and its partners alike. Whether national or international, these recognitions reflect Alterfin's role as an actor for a more just world.



STRENGTHENING THE CO-OPERATIVE MOVEMENT

By being a member of other co-operatives, Alterfin seeks to foster exchanges and contribute to a co-operative movement with shared ambitions and values.



FUNDING PARTNERS

Institutions with similar ambitions financially support Alterfin's projects. These include EDFI AgriFI and BIO, as well as the Italian ethical bank Banca Etica. They provide funding in US dollars or make euro credit lines available, enabling us to grow our portfolio and fulfil our mission.



GUARANTEE FUNDS

To reduce the risks associated with lending, Alterfin sets up guarantee mechanisms. These guarantees, which are essential to our operations, are financed by certain organizations (see box p. 42 for more information).

- **Aceli Africa** is a guarantee fund created within the Council on Smallholder Agricultural Finance (CSAF) to promote financial inclusion in the sustainable family farming sector.
- **FOGAL** is a guarantee fund aimed at facilitating access to credit for organizations developing economic activities in rural areas of Latin America. It was created in 2004 by SOS Faim (now Humundi) and other local partners.

Cassava producer,
Cambodia
© Alterfin

- Alterfin also benefits from the guarantee program of the USDFC (United States Development Finance Corporation).



NETWORKS IN ETHICAL FINANCE, MICROFINANCE AND SUSTAINABLE FAMILY AGRICULTURE

Alterfin is an active member of various Belgian and international networks in ethical finance, microfinance, and sustainable family agriculture. These networks aim to share knowledge, define and promote sector best practices, always with a focus on transparency and positive impact on the communities served.

In addition, Alterfin has been part of the Steering Committee of the Council on Smallholder Agriculture Finance (CSAF), significantly contributing to its strategic development and programs.



DONORS

Market creation

To provide local currency financing to our partners, Alterfin uses platforms offering essential currency hedging solutions: the MFX platform and the EU Market Creation Facility, managed by TCX.



Grants for technical assistance projects

In 2025, we received funding from the institutions below to support technical assistance projects aimed at strengthening our partners' capacities:

- **SSNUP (Smallholder Safety Net Upscaling Programme):** This program aims to improve the livelihoods of 10 million smallholder families through training and targeted investments in agricultural value chains. Since the partnership began in 2021, Alterfin has deployed 1.03 million euros, including 218,859 euros in 2025;
- **BIO (Belgian Investment Company for Developing Countries):** This development institution invests in SMEs in developing countries. Since the partnership began in 2022, Alterfin has deployed 230,000 euros to its partners, including 150,000 euros in 2025.



INVESTMENT ADVISORY SERVICES FOR THIRD-PARTY FUNDS

In addition to investing its own funds, Alterfin provides investment advisory services on behalf of other organizations. In 2025, we continued our partnerships with:

- the Swiss impact fund manager **Symbiotics**, in the **sustainable family agriculture** sector;
- the **Fefisol II fund** (see box p. 25);
- BRS, a Belgian co-operative providing technical assistance and loans to **microfinance institutions** worldwide.

More information on the evolution of third-party managed funds can be found in Chapter 7: “Our sustainable investments” (p. 20).

Funds with investments under Alterfin's advisory

Alterfin acts both as advisor and investor for the BRS and Fefisol funds.



Other investors in Fefisol II



Co-founder of Kampani

In 2015, Alterfin co-founded Kampani, a fund dedicated to sustainable family agriculture, together with several other organizations (Boerenbond, King Baudouin Foundation, Louvain Coopération, and Rikolto). It remains a member of its Board of Directors.



SUSTAINABLE WORKPLACE

Alterfin is committed to operating in a workplace aligned with its sustainability values. This is why in 2019 we moved our offices to the Mundo Madou buildings.

Mundo Madou places social and environmental responsibility at the heart of its approach. The buildings are designed to minimize environmental impact.

Moreover, working in such a space allows us to create synergies with the other associations, NGOs, and social enterprises hosted at Mundo Madou.



MEMBER ORGANIZATIONS

Other organizations active in microfinance, sustainable family agriculture, and fair trade have also demonstrated their commitment by becoming members of Alterfin. Among Alterfin's co-operative members are founding organizations such as Oxfam Belgium, Oxfam Wereldwinkels, and Rikolto.

Some partnerships take multiple forms: for example, BIO acts simultaneously as a lender, a donor (for technical assistance projects), and a co-operative member of Alterfin. These various forms of support reflect the stakeholders' commitment and trust.



7

Our sustainable investments

Alterfin in 2025:

€122 million

total investment portfolio under Alterfin's management and advisory

€95 million

disbursed

142 partners

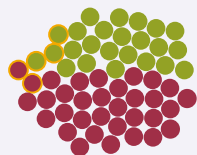
in 32 countries

- 76 in microfinance
- 57 in sustainable family agriculture
- 9 funds & social investments
- 10 new

LATIN AMERICA



57 partners



Total portfolio
€38 million



31% agriculture
69% microfinance

AFRICA



45 partners

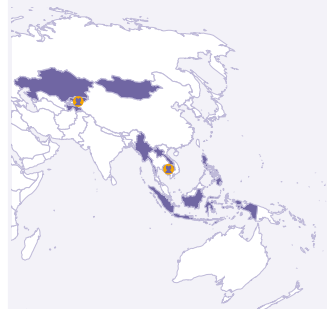


Total portfolio
€46 million



36% agriculture
60% microfinance
4% funds

ASIA



24 partners



Total portfolio
€28 million



17% agriculture
83% microfinance



Alterfin has **investment managers** in eight countries: Honduras, Costa Rica, Peru, Bolivia, Côte d'Ivoire, Kenya, Kyrgyzstan and Cambodia.

INTERNATIONAL

16 partners



Total portfolio
€10 million



69% agriculture
26% microfinance
5% funds

A SOLID UPTURN IN ACTIVITY IN THE SECOND HALF OF THE YEAR

In 2025, the US administration's aggressive trade and tariff policy created uncertainty for the global economy. This international landscape was further complicated by highly volatile interest rates and agricultural commodity prices, as well as regional issues: elections, climate risks, a sluggish economic environment, security issues, changing regulations, etc. All this led to a **downturn, followed by a temporary stagnation in our outstanding investments under management and advisory in the first half of the year.**

However, our operations saw **a sharp upturn from September onward**, due to the seasonal nature of agricultural value chains and increased demand from the microfinance sector. In the end, **our total portfolio of investments under management and advisory increased 3.7% in 2025 to reach 143.6 million US dollars.** This is the highest closing level since Alterfin was founded, which enables us to look ahead to 2026 from a position of strength (see also page 27 on our microfinance activities).

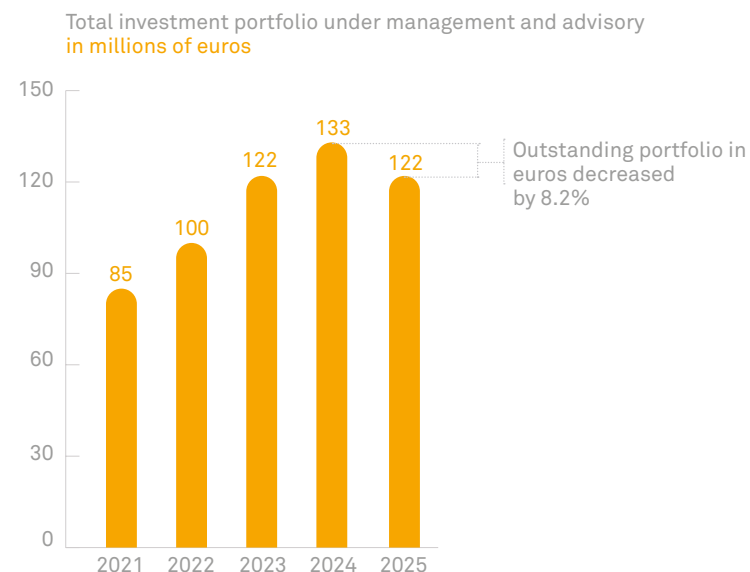


Wood turner,
Nicaragua
© Alterfin

142 partners in 32 countries benefited from our services over the course of the year. **Eight new partners** received financing from Alterfin in 2025: three microfinance institutions and five agricultural organizations. In addition, two partnerships became active again, meaning that these partners obtained new loans, even though they had not had any active investments for several years. Twelve partners left our portfolio, primarily because of poor operational and financial performance or because their country context prevented Alterfin from continuing to invest.

It should be noted that the dollar is the currency used for 85% of our investments and is therefore a more accurate reflection of the development of our activities. When expressed in euros, the total portfolio of investments under management and advisory reduced by 8.2% in 2025 to 122.1 million euros. This significant difference can be explained by the 13% appreciation of the euro against the dollar over the course of the year (see “The impact of the euro/dollar exchange rate”).

EVOLUTION OF ALTERFIN'S TOTAL INVESTMENT PORTFOLIO UNDER MANAGEMENT AND ADVISORY AS OF 31 DECEMBER



The 13% appreciation of the euro against the dollar during the year explains the difference in growth trends when expressed in dollars and euros.



The impact of the euro/dollar exchange rate

A total of 85% of our loans is in dollars or in local currency using the dollar. Consequently, just 15% is in euros. Because our capital is in euros, we have to take out loans in dollars so that we can provide our partners with loans in dollars.

This results in **our financial performance and results being affected every year by exchange rates**: if the dollar loses value against the euro, for example, our portfolio's size and income are smaller when converted into euros. In some cases, the effect is so significant that in dollars, they may have increased compared to the previous year, while in euros they have decreased. Conversely, in some years we may have lent less in dollars, but the size of the portfolio remained stable or even grew in euros.

Record level of activity for investments under management

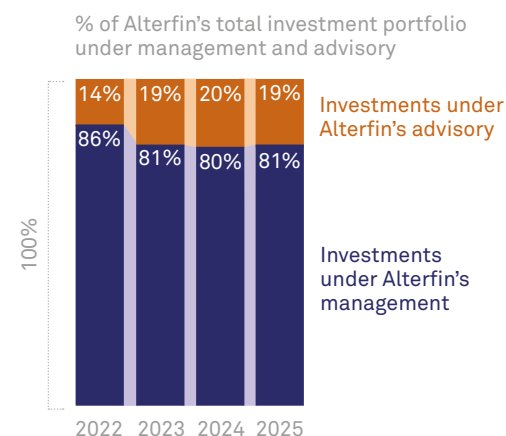
The portfolio of investments under Alterfin's management encompasses investments made by Alterfin on its own behalf, using its equity and loans from Belgian and international financial institutions. It primarily comprises our net loan portfolio, which is made up of short- and medium-term loans that we provide to our partners. The portfolio under management also contains financial fixed assets, which consist of equity investments in strategic funds or partners, and which historically have accounted for less than 5% of the portfolio of investments under Alterfin's management.

The portfolio under management increased by 4.3% in 2025. It stands at 115.8 million dollars, an all-time high. Disbursements to our partners exceeded 108 million dollars, which is also an annual record. However, when expressed in euros, the portfolio under management shows negative growth in 2025, due to the appreciation of the euro. In euros, this equates to a 7.7% decline and a portfolio of 98.5 million euros.



COMPOSITION OF THE OUTSTANDING TOTAL INVESTMENT PORTFOLIO UNDER ALTERFIN'S MANAGEMENT AND ADVISORY

Alterfin's share remained stable in 2025.



The significant contribution of investments under advisory

We currently provide consultancy services to the following organizations:

- **Symbiotics:** Alterfin provides this Swiss impact investor with investment consultancy services focused on the sustainable agriculture sector;
- **Fefisol:** a fund created by several investors (including Alterfin, see the highlighted box on Fefisol), focused on financing microfinance institutions and organizations in sustainable agriculture in Africa;
- **BRS Microfinance Coop:** a Belgian cooperative that provides technical assistance services and loans to microfinance institutions around the world and invests in the sector indirectly;
- a few **former funds** to which Alterfin provided investment consultancy services, whose loans are still active.

Investments under advisory continue accounting for around 20% of the total portfolio of investments. Together, they disbursed 26.7 million dollars (23.2 million euros) in 2025, by far the highest annual figure. These investments play a major role in meeting the needs of our partners, particularly given the high prices of cocoa and coffee. It should also be noted that investments under advisory of the Fefisol II fund, which is focused solely on Africa, remain stable and that the fund has been almost fully deployed

Fefisol, a tool to better meet our partners' needs

Launched in June 2022 for a duration of 10 years, the Fefisol II fund (European Solidarity Financing Fund) was jointly founded by Alterfin and SIDI (Solidarité Internationale pour le Développement et l'Investissement) and is managed by the Belgian fund manager INPULSE. The fund is primarily financed by its founders and by development institutions (BEI, BIO, FISEA, Banca Popolare Etica, Crédit Coopératif, Banque Alternative Suisse, SOS Faim Luxembourg, BRS, and CDC).

Fefisol is focused solely on Africa, investing in microfinance and sustainable agriculture there. The fund has a **total financing capacity of around 27.9 million euros**. By the end of 2025, a total of 23.1 million euros was invested in 40 partners, with 12.9 million euros invested in 19 partners that also received direct financing from Alterfin. Furthermore, Fefisol provides 2.7 million euros for technical assistance projects to further strengthen our partners' capacities.

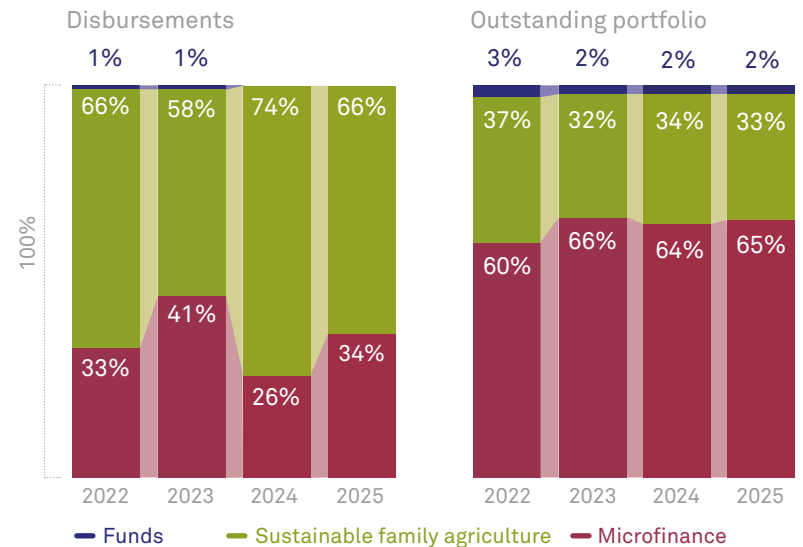


DISTRIBUTION BY SECTOR: IN LINE WITH PREVIOUS AVERAGES

The distribution by sector of the total portfolio of investments under Alterfin's management and advisory did not change in 2025: the microfinance sector accounts for almost two-thirds of our active investments, while sustainable agriculture accounts for around one-third. A small portion of the portfolio are equity investments in strategic funds or industry partners.

EVOLUTION OF THE COMPOSITION OF ALTERFIN'S TOTAL INVESTMENT PORTFOLIO UNDER MANAGEMENT AND ADVISORY BY SECTOR

The sectoral distribution of disbursements and outstanding investments is in line with historical averages.



Microfinance: loan renewals deferred to the second half of the year

Between 2022 and 2024, our disbursements in microfinance benefited from the post-pandemic economic recovery. Given that our loans to microfinance institutions are generally disbursed for a period of three to four years, **most of these investments were renewed in 2025.**

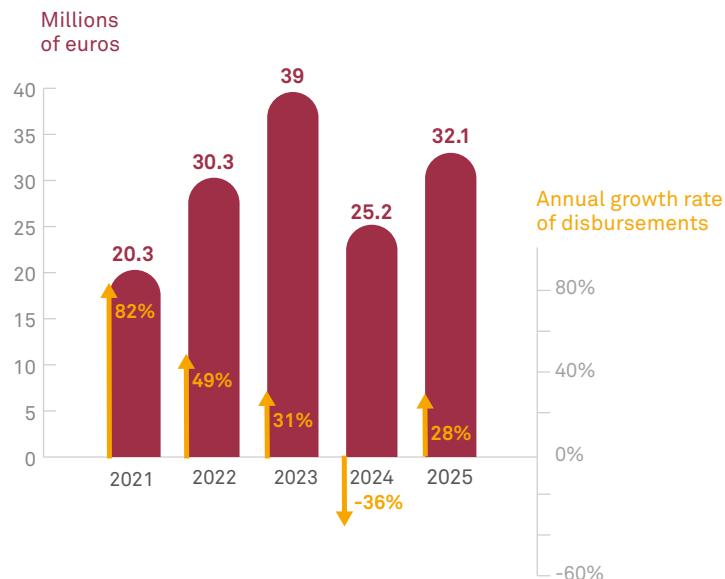
It should be noted that many renewals were delayed until the second half of the year, leading to **a surge in disbursements and growth in the microfinance portfolio during that period.** This can be explained both by the sluggish global economic climate in the first half of the year and by problems specific to certain countries: high inflation and extreme weather events in Kenya, unforeseen changes in regulations in Kyrgyzstan, complex electoral and political contexts in Latin America, and the United States' tariff, trade, and foreign policies.

Despite these external events, **the portfolio of investments in microfinance expressed in dollars increased by almost 5% over the year.** This ultimately positive trend can also be attributed to Fefisol II's increased investment in the sector, the development of three new partnerships over the course of the year (in Colombia, Honduras, and Sierra Leone), and the resumption of a partnership in Mongolia. However, because of the aforementioned depreciation of the dollar, the microfinance portfolio expressed in euros decreased by 7.2% in 2025.

The significant number of renewals in the second half of the year will have a positive impact on our activities in 2026 and beyond. Given that loans to microfinance institutions tend to be disbursed over a period of three to four years, they increase the portfolio's outstanding loans in the short term in a stable manner.

MICROFINANCE DISBURSEMENTS

Microfinance disbursements increased compared to 2024 following loan renewals.



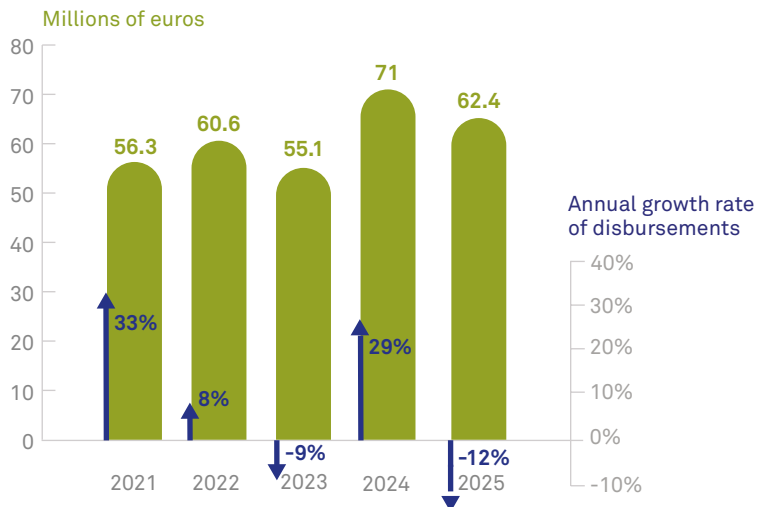
Investments in sustainable agriculture confronted with market realities

Our portfolio of investments under management and advisory in sustainable agriculture was subject to the same contradictory dynamic, depending on the currency: **a slight increase of 1.5% when expressed in dollars, and a decrease of 10.1% when expressed in euros**, because of the effect of currency conversion.

As it is most years, the agricultural portfolio was affected by a combination of negative and positive factors, along with significant volatility of prices on the agricultural commodities markets.

DISBURSEMENTS IN SUSTAINABLE FAMILY AGRICULTURE

Disbursements to sustainable agriculture, expressed in euros, decreased due to seasonality and shorter use of credit lines by our partners.



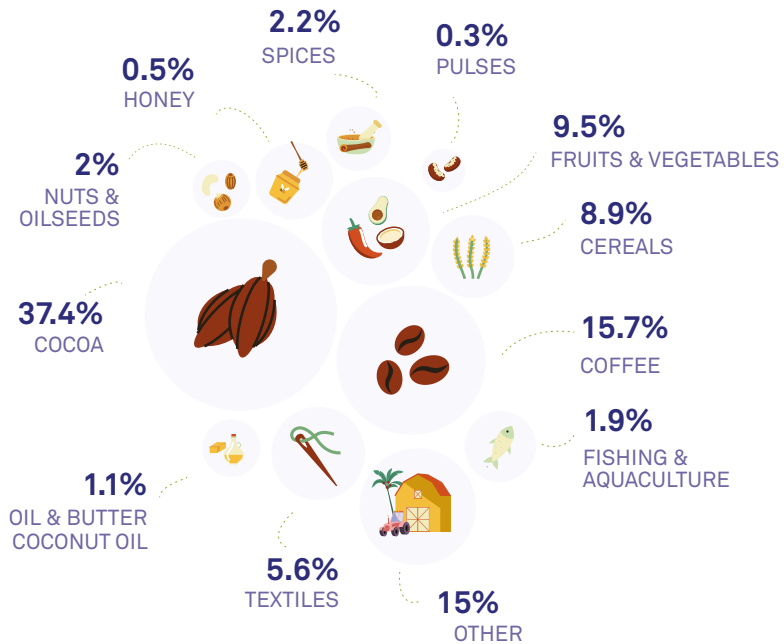
Differing seasonal production patterns among certain partners, particularly within the dominant cocoa and coffee value chains, and uncertainty regarding demand **led to reduced and shorter-term use of many credit lines**. This means that partners borrow smaller amounts and pay them back more quickly, with a **negative impact on the sector's portfolio volume as of the end of the year**.

These negative factors were offset by the acquisition of **six new partners**, some of whom received combined investments from Alterfin and Symbiotics.



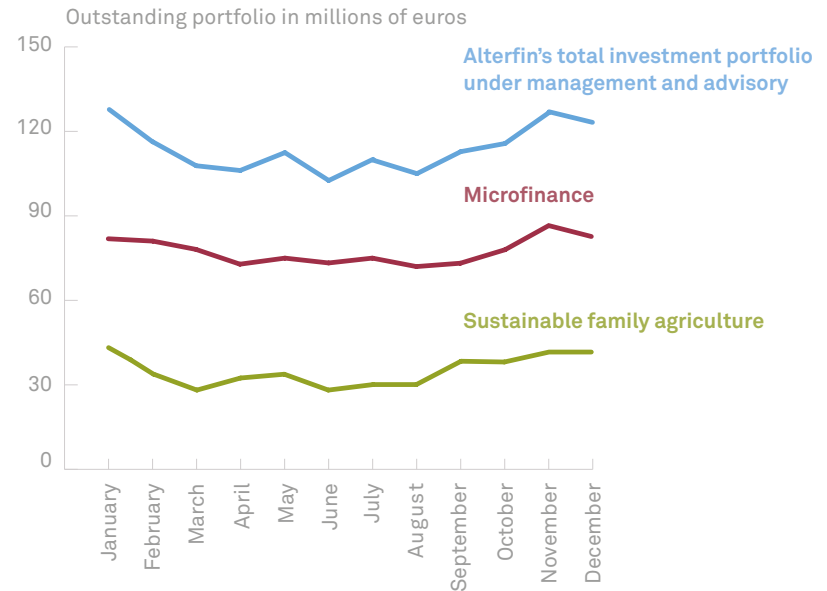
OUTSTANDING PORTFOLIO BY TYPE OF PRODUCT

At the end of 2025, our outstanding portfolio in sustainable family agriculture amounts to €40 million.



SEASONALITY OF ALTERFIN'S TOTAL INVESTMENT PORTFOLIO UNDER MANAGEMENT AND ADVISORY SERVICES

The outstanding agricultural portfolio was characterized by the usual seasonality of coffee and cocoa growing. In microfinance, a significant number of loans were renewed in the second half of the year.





Cocoa producer,
Côte d'Ivoire

© Alterfin

NO CHANGES IN GEOGRAPHIC DISTRIBUTION

Africa and Latin America continue to account for the majority of our investments (nearly 70% combined). Both continents combine a substantial microfinance portfolio with a diverse range of agricultural investments, which are still dominated by the cocoa and coffee sectors. Asia accounts for a quarter of the total portfolio, with investments primarily in the microfinance sector.

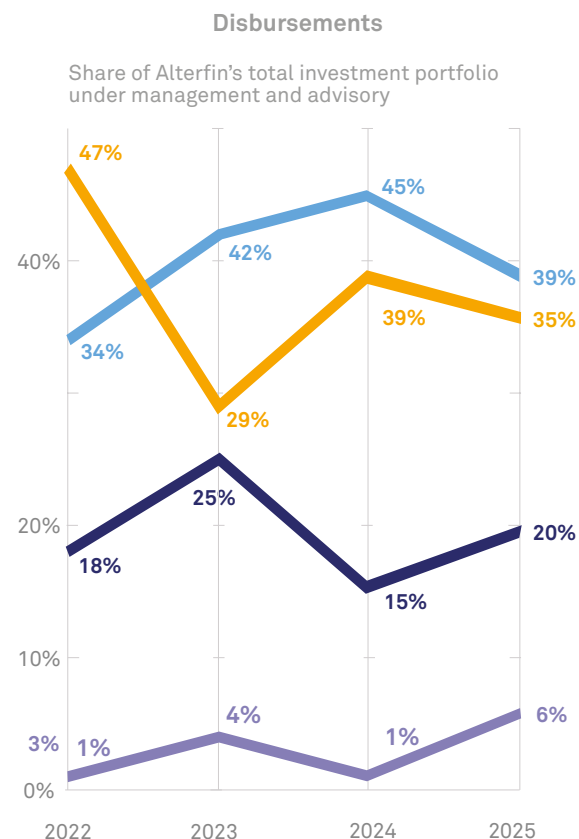
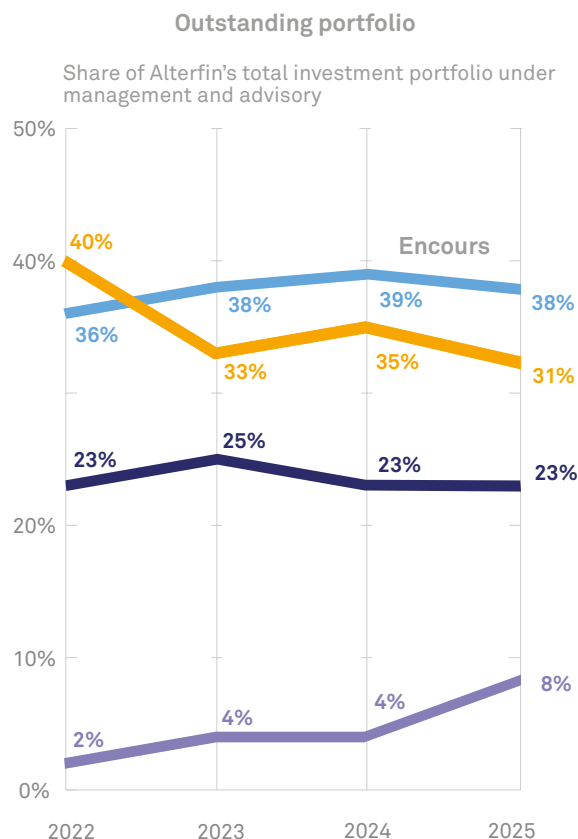
The geographic distribution of our portfolio of investments under management and advisory is mainly influenced by:

- local economic contexts;
- the seasonality of agricultural value chains;
- investments from the Fefisol II (exclusively focused on Africa and partially focused on agriculture) and Symbiotics (exclusively focused on sustainable agriculture and therefore primarily on Africa and Latin America) funds;
- limited agricultural opportunities in Central and South-East Asia.

EVOLUTION OF THE COMPOSITION OF ALTERFIN'S TOTAL INVESTMENT PORTFOLIO UNDER MANAGEMENT AND ADVISORY BY REGION

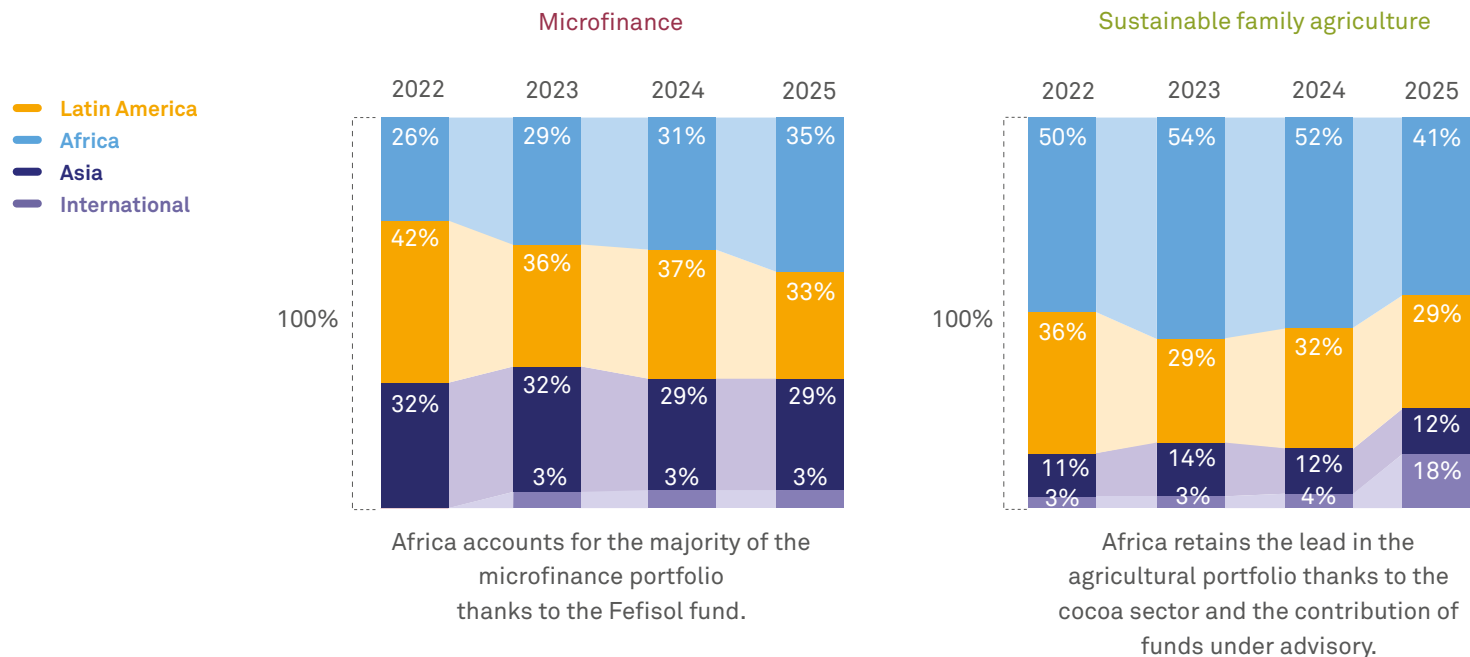
Africa accounts for the largest share of activities due to the presence of the Fefisol fund.

— Latin America
— Africa
— Asia
— International



The “**International**” category brings together partners operating across several continents and/or based in Europe as part of our investment activities with social buyers. This sector saw a significant increase in its contribution in 2025, driven by joint investments by Alterfin and Symbiotics.

EVOLUTION OF THE REGIONAL DISTRIBUTION IN MICROFINANCE AND SUSTAINABLE FAMILY AGRICULTURE



EIGHT NEW NAMES IN ALTERFIN'S PORTFOLIO

In 2025, Alterfin established eight new partnerships. Five of these partners operate in sustainable agriculture. Four are in the cocoa sector; three of these partners are in Latin America. Cocoa is becoming increasingly important in the region, due to high market prices and a production shortfall that could affect the main producing countries in Africa (Côte d'Ivoire and Ghana) in the medium term. As a result of this shift and high prices, the sector's financing requirements increased in 2025.

The other three new partners are active in microfinance in Africa and Latin America. One of them is a wholesale lender, providing financing to microfinance institutions (MFIs) in Central America. This investment enables Alterfin to increase its reach and impact, as we are unable to provide direct financing for the majority of these MFIs, due to their size or performance.

BRAC: a long-standing microfinance player in Alterfin's portfolio

BRAC (Bangladesh Rural Advancement Committee) was founded in Bangladesh in 1972. Originally established as a development NGO, BRAC began working in microfinance in 1974. It provides financing solutions to vulnerable women in rural areas so that they can improve their living conditions through their economic activities. The NGO then decided to replicate its model internationally.

Today, BRAC International's development projects and microfinance activities help more than 145 million people in 15 countries in Africa and Asia. In 2025, Alterfin entered into its first partnership with one of the group's entities: **BRAC Sierra Leone**. The MFI received its first financing from Alterfin and is set to receive a further loan from Fefisol in 2026. True to BRAC's roots and its mission, the organization provides individual and group loans to small-scale entrepreneurs and low-income households in disadvantaged communities across Sierra Leone.

Sierra Leone remains one of the poorest countries in the world: around 26% of the population lives below the poverty line, a figure that reaches 60% in rural areas. Around 80% of Sierra Leone's citizens do not have access to formal financial services. BRAC Sierra Leone currently has **more than 64,000 active borrowers, 96% of whom are women and 52% of whom live in rural areas.**

QUALITY OF THE PORTFOLIO UNDER MANAGEMENT

This section focuses solely on the quality of Alterfin's gross loan portfolio, given that Alterfin bears the credit risk for these loans, unlike its investments under advisory. Furthermore, Alterfin's financial fixed assets (long-term capital investments) are also excluded from these calculations, given that they have no defined investment timelines.

The main indicator of the quality of Alterfin's gross loan portfolio is the combined rate of:

1. loans overdue by more than 30 days;
2. restructured loans;
3. written-off loans.

At the end of 2025, this combined rate reached **10.6% of the loan portfolio**; this is a slight improvement on the rate of 10.9% at the end of 2024. **This ratio has improved consistently since 2020**, despite various crises, while Alterfin's gross loan portfolio grew by 6.3% annually during the same period. This shows that social enterprises that focus not only on their operational and financial performance, but also on their social and environmental performance are more resilient. Secondly, this illustrates that the expertise that Alterfin has developed is paying off: we are constantly improving the way in which we monitor our partners and the technical support we provide them with, something that makes both of us stronger (see also the personal accounts in "What impact do we have in West Africa?" on page 46).

Overdue loan rate

Firstly, Alterfin's rate of overdue loans improved in 2025: loans overdue by more than 30 days account for **6.6% of investments of Alterfin's gross loan portfolio, in comparison to 7% at the end of 2024**. This includes 18 partners, 11 of whom have been in default for several years. Various recovery measures are being implemented to recover all or part of the investments in question.

Restructured loans

Four partners have had their loans restructured; this means that Alterfin modified and extended the repayment schedules and deadlines for the investments in question. Most of these restructurings, which **only account for 2.2% of Alterfin's gross loan portfolio (compared to 5% at the end of 2023 and 2.3% at the end of 2024)**, are related to a decline in the operating and financial performance of the partners in question. Four other partners fully repaid their restructured loans during the year, demonstrating the effectiveness of the restructuring process.



Written-off loans

Lastly, **1.7% of Alterfin's gross loan portfolio was written off during the year**, which means that the relevant investments were deemed unrecoverable and therefore removed from our portfolio. **This is stable** when compared to the 1.6% in 2024.

To anticipate these losses, Alterfin applies write-downs to all non-performing loans, based on factors that include the time elapsed and the probability of repayment. This means that the cooperative decreases their value in its accounts to reflect the risk of not recovering the loans. After adjusting for write-downs, Alterfin obtains its net loan portfolio. In 2025, the net portfolio amounted to 91.9 million euros at the end of 2025.

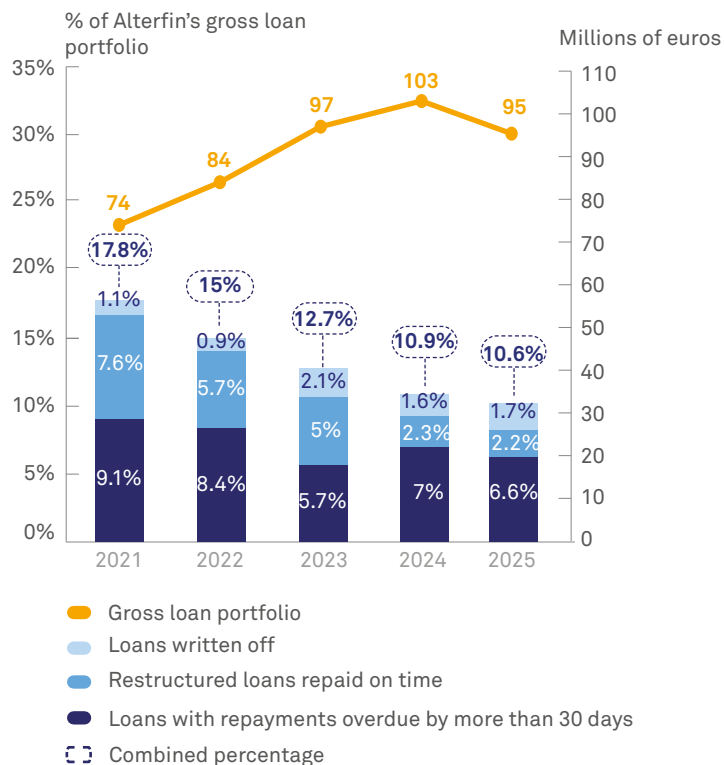
Once the net value of the loan portfolio is known, Alterfin calculates its residual risk by:

- adding loans in default (that have not been paid for more than 30 days) and restructured loans (the terms of which have been modified);
- dividing this total by the net value of the portfolio (after write-downs).

This results in a rate that gives an estimate of the **residual risk**, meaning the level of risk that remains beyond the potential losses. At the end of 2025, **this rate stands at 5.5% of the net loan portfolio; this is the same rate as it was in 2024**, confirming Alterfin's ability to manage the quality of its portfolio.

QUALITY OF ALTERFIN'S GROSS LOAN PORTFOLIO

The combined percentage of loans overdue by more than 30 days, restructured loans repaid on time, and written-off loans has improved compared to the end of 2024.



8

Our impact

Alterfin's mission is to **improve the livelihoods and living conditions of socially and economically disadvantaged people and communities**. We operate primarily in rural areas and in low- and middle-income countries worldwide.

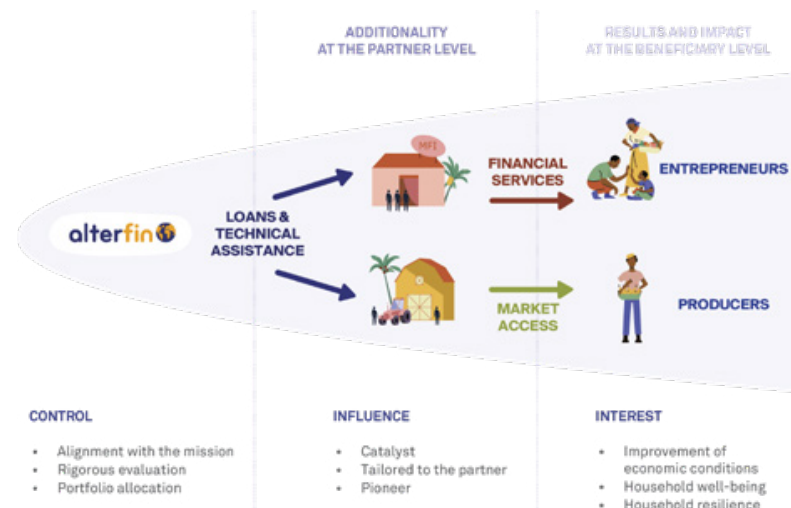
Alterfin pursues this mission by supporting microfinance institutions (MFIs) and sustainable agricultural enterprises. MFIs provide essential financial services to people who have limited or no access to the formal banking system.

Sustainable agricultural enterprises (co-operatives, rural SMEs, etc.) work closely with smallholder farmers to help them build stable incomes.

In this section, you will discover:

- our approach to **impact management**, and how we collect and use data to understand where we stand in achieving our mission;
- our **impact in figures**, based on the four key pillars that guide our work;
- **case studies** that help illustrate the changes experienced by our partners and the communities they serve.

This visual illustrates **Alterfin's sphere of influence**, highlighting how our work creates value both at the level of our partners and their beneficiaries.



At the heart of our **direct sphere of influence** are the MFIs and agricultural organizations we finance and support through loans and technical assistance. By carefully selecting partners whose mission aligns with ours and strengthening their capacities, we act as a catalyst and long-term trusted partner, enabling them to provide quality financial services and access to markets.

In turn, our partners reach entrepreneurs and farmers—our **indirect sphere of influence**. Improvements in their economic stability, well-being, and resilience reflect the broader impact of our investments.

OUR APPROACH TO IMPACT MANAGEMENT

To measure our impact, we conduct an **annual analysis** of data from our partners to track their progress and monitor changes. This also allows us **to assess whether our approach is sufficiently targeted and effective** in achieving our mission to fight poverty.

First, Alterfin collects data from partners and their beneficiaries using **an environmental and social assessment tool** that we have specifically developed for this purpose.

We then analyze the data collected through the **four key pillars of our work**:

1. financial inclusion;
2. market access;
3. support to rural enterprises;
4. protection of the planet.

These four fundamental pillars enable us to translate our mission into clear objectives aligned with our overall purpose. In addition to these pillars, gender equality and inclusion are considered cross-cutting objectives.

The insights gained from this annual analysis are used to refine our investment strategy, guide our engagement with partners, and improve our ability to direct capital towards organizations where it can generate the greatest positive impact.

In addition to our own assessments, we also comply with the European regulation on sustainability-related disclosures in the financial services sector¹.

We regularly publish transparent reports on how sustainability considerations are integrated into our investment processes².

The figures presented in this report are estimates based on **the most recent data from Alterfin's environmental and social assessment tool**. They are reported by our partners and may be subject to change. Although Alterfin verifies the data where possible and relevant, they may contain inaccuracies.

It should also be noted that Alterfin presents **the overall results and impacts of its partners**, without attempting to determine which portion is specifically attributable to its own investment. This approach allows for more reliable data.

¹ https://finance.ec.europa.eu/sustainable-finance/disclosures/sustainability-related-disclosure-financial-services-sector_en

² For more information, see the latest publication in Appendix 2, page 68, or on our website: <https://www.alterfin.be/page/sustainability-related-disclosures>

OUR IMPACT IN FIGURES

Gender equality and inclusion: an overarching objective



Goal 5.1 –
End all forms of
discrimination against
all women and girls.



Goal 10.2 –
Promote universal
social, economic and
political inclusion.

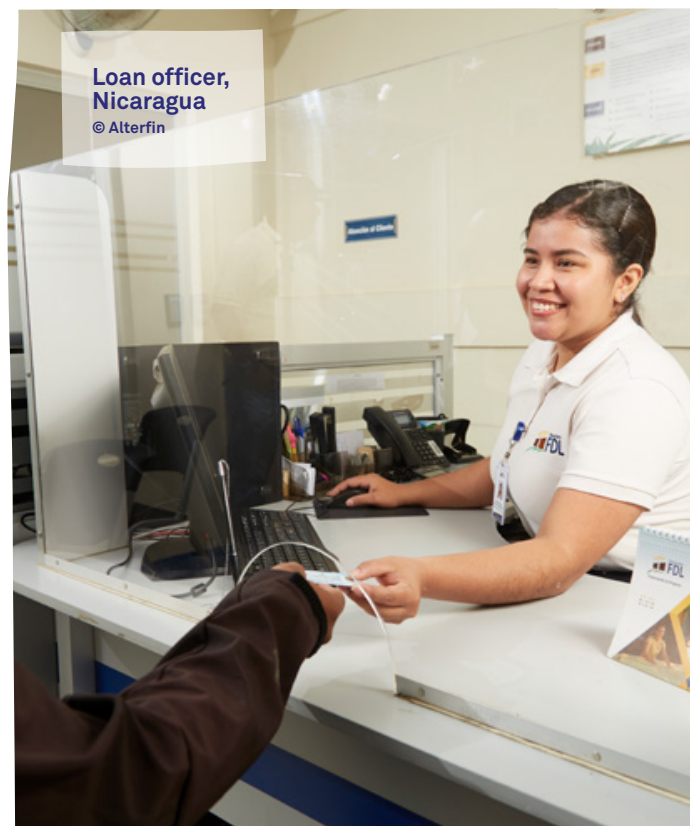
Alterfin recognizes that **women play a key role** in achieving its mission. **Alterfin's Gender Investment Strategy** aims to promote gender equality, strengthen women's economic participation, and build more equitable and resilient communities. To do so, **we support women-led and women-focused organizations** that promote inclusive financial products and encourage gender-sensitive practices.

In 2025, **our partners supported 2.4 million women**, representing 75% of all their clients and producers reached. Nearly one-third (29%) of them are women-focused, meaning:

1. for agricultural partners: at least 30% of their producers are women;
2. for MFIs: at least 70% of their clients are women.

Representation of women among our partners:

Women in leadership positions	567
Management	29%
Board of Directors (BoD)	30%
Number of women employees	12,831
Share of women among permanent employees	42%
Share of women among temporary employees	62%
Share of women beneficiaries	75%



THE FOUR KEY PILLARS OF OUR IMPACT

) Pillar 1 Financial inclusion



Goal 1.4 –
Ensure equal rights
to ownership, access
to basic services,
technology and
economic resources



Goal 10.2 –
Promote universal
social, economic and
political inclusion.

A large share of the global population—especially women and people living in rural areas—still **lacks access to basic financial services**. By investing in microfinance institutions (MFIs) operating in underserved regions, Alterfin aims to **improve financial inclusion for individuals, farmers, and micro-entrepreneurs** who are often excluded from or underserved by the formal banking system.

Through these partner MFIs, clients gain access to products and services that enable them to invest and strengthen their financial security. Alterfin thus aims to make vulnerable households more resilient and better able to cope with economic shocks.

The majority of our partner MFIs operate in low- and lower-middle-income countries (67%), 21% in least developed countries, and 4% in fragile or conflict-affected countries or regions.

Products and services offered by MFIs

MFIs offer **various loan products**:

- individual loans (36%);
- solidarity group loans (25%);
- village loans (12%).

In addition to loans, our partners provide **a wide range of products tailored to the needs of the communities they serve**:

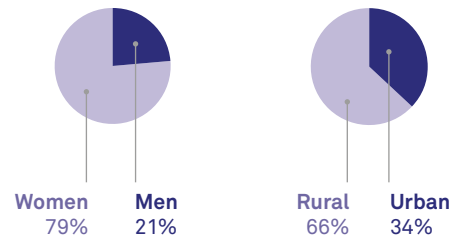
- non-financial services: training, awareness-raising activities, etc. (79%);
- agriculture-related products: seasonal loans, livestock purchase loans, etc. (64%);
- insurance products (57%);
- environment and climate-focused products: loans for solar panels, home insulation, climate adaptation, etc. (57%);
- savings products (33%).

Who are the MFI clients?

Our partner MFIs provided financial services to **4.1 million** people:

- 2.9 million clients received loans, 79% of whom are women;
- 2.2 million clients held savings products.

PROFILE OF MFI BENEFICIARIES



Most borrowers come from rural communities (66%), where access to finance is often most limited. Among those who received loans:

- **28%** work in agriculture;
- **51%** run a microenterprise or engage in other economic activities in production, processing, trade, or services;
- **21%** finance essential household needs (housing, education, and other consumption needs).

Pillar 2 Market access



Goal 2.3 –
Double the agricultural
productivity and
incomes of small-scale
food producers



Goal 10.2 –
Promote universal
social, economic and
political inclusion.

Smallholder farmers often face **barriers that prevent them from accessing fair and reliable markets**. By supporting organizations that enable farmers to **export their crops into global value chains**, Alterfin helps strengthen their market access and generate vital income.

Many of **our partners provide technical assistance, training, and pre-financing**. This support enables producers to improve crop quality, potentially obtain better prices, and invest in their farms. In this way, Alterfin aims to make these farmers more resilient, with more predictable livelihoods for themselves and their communities.

Among our agricultural partners, 53% operate in low- and lower-middle-income countries, 19% in least developed countries, and 2% in fragile or conflict-affected countries or regions.

Products and services offered by our agricultural partners

Our partners work closely with farmers, building relationships of trust that allow them to respond to real needs on the ground. **Strengthening farmers' capacities** is central to their work: 81% of partners provide training and 68% offer technical assistance.

Who are the farmers reached by our partners?

Alterfin's partners support **more than 199,000 smallholder farmers** (with an average farm size of 2.3 hectares), of whom 24% are women.

Together, they represent more than 473,000 hectares of cultivated land and agricultural production exceeding 355,000 tonnes.

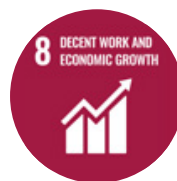
Premiums that benefit all

Alterfin actively **promotes fair trade and organic production**. In addition to ensuring sustainable social and environmental practices, these certifications allow farmers to benefit from premiums that strengthen their livelihoods.

As in the previous year, the decline in global demand for certified products led to a decrease in volumes sold under certified labels in 2025. However, our partners still received **a total of 14.2 million dollars in premiums**.

Despite this slowdown, we continue to support certified products. The income generated is either **paid directly to farmers** or used for initiatives that benefit entire communities, such as agricultural training, improved village infrastructure, and the construction of schools and healthcare facilities. Beyond financial gains, **these premiums help break the cycle of poverty in rural communities**.

Pillar 3 Investments in rural enterprises



Goal 8.3 –
Promote policies that
support job creation
and enterprise
development



Goal 10.2 –
Promote universal
social, economic and
political inclusion.

Rural SMEs create jobs and economic **opportunities for rural populations**. Often active in agriculture or related activities, they play a crucial role in the development of these communities.

However, they face a significant financing gap. Their needs are often too large for microfinance institutions but too small for commercial lenders. They are also frequently considered “high risk” due to their size and sector, making access to capital difficult.

By financing these SMEs and co-operatives, Alterfin aims to **support rural entrepreneurship and the development of more inclusive value chains**.

This support helps maintain or create decent jobs, promote better working conditions, and encourage more diversified and resilient local economic activity. Through this approach, Alterfin seeks to contribute to more sustainable prospects for rural communities and their long-term development.

Lead investor

To support these SMEs' growth opportunities, we acted as **lead investor for 49% of our sustainable agriculture partners** in 2025.

Together, our agricultural partners employ **more than 4,700 people** worldwide, of whom **54% are women** and 33% are on permanent contracts.

Farmers remain, and will continue to be, one of our primary target groups, as they represent a large share of vulnerable populations worldwide. This is also where our greatest potential for impact lies.

Loan guarantees

Alterfin chooses to work with partners that have the potential to generate significant social and environmental impact, even if their financial and/or operational performance may sometimes require improvement. The risks associated with providing these loans are mitigated through several guarantee mechanisms.

In 2025, these guarantees were funded (in euros or US dollars) mainly by four entities (for a full list of our partners, see Chapter 6: "Partnerships and Networks" on page 16):

- the **Alterfin Guarantee Fund** provided guarantees totaling more than 1.4 million euros to 17 partners;
- the **ACELI Africa guarantee** amounted to more than 245,000 dollars for 9 partners;
- **FOGAL** granted more than 495,000 dollars in guarantees to four partners in Peru and Bolivia;
- the **USDFC** (United States Development Finance Corporation) guarantee program, launched in 2024, covers loans totaling 20 million dollars over a 10-year period. By the end of 2025, the cumulative amount used reached 5.2 million dollars, benefiting ten partners.

Pillar 4 Investments in rural enterprises



Alterfin is committed to contributing to the fight against climate change and environmental degradation, which disproportionately affect vulnerable communities. 67% of our partners operate in countries that are (highly) exposed to extreme weather events. **These affect agricultural yields and, consequently, the food security of smallholder farmers.** Earning a stable and predictable income is becoming increasingly difficult.

Through its investments, Alterfin aims to **strengthen both the resilience of vulnerable communities and that of the ecosystems on which they depend.** The goal is to enhance their adaptive capacity and promote sustainable agricultural practices.

Using its **environmental and social assessment tool**, Alterfin evaluates agricultural practices based on several criteria, such as soil health, waste and water management, biodiversity preservation, responsible use of agrochemicals, and the implementation of climate risk mitigation and adaptation practices.

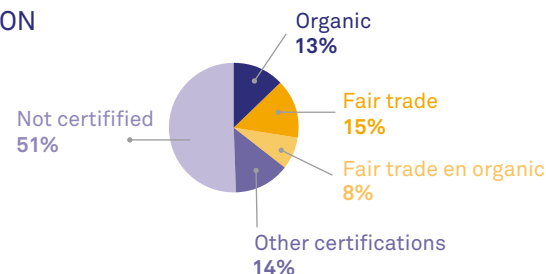
Certification: essential but costly

Certification remains a crucial mechanism for promoting sustainable practices. In 2025, **78% of the farmers** supported by our partners **held at least one certification.** These include fair trade, organic, or both, and other certifications (e.g. Rainforest Alliance). All of them involve sustainable farming practices and environmental protection.

Why are not all farmers supported by Alterfin certified? Because obtaining **these certifications involves costs** that not all can afford. Moreover, they are not always certain they will be able to recoup this investment. Certification does not guarantee that they will be able to sell all their production under a certified label, and therefore at higher prices. Cocoa and coffee markets, where many of our partners operate, are highly volatile: prices rise or fall with even minor climate disruptions or poor harvests.

In addition to this ongoing uncertainty, in recent years, **declining global demand for certified products** has led to a decrease in the volume of production sold under certified labels.

SHARE OF CERTIFIED PRODUCTION



The importance of technical assistance projects

One of our main objectives is to provide tailored support to our partners. Beyond their financial needs, they also require technical support. That is why Alterfin facilitates technical assistance projects. To do so, we work with our partners to identify their needs and the most appropriate solutions to improve their capacities and performance.

This is a key component of our activities, as strengthening our partners' skills and capacities enhances their positive impact on the communities they serve.

This assistance is made possible thanks to funding provided by:

- the **Alterfin Guarantee Fund**, an independent organization founded in 2000 and funded by donations from individuals and institutions;
- **BIO** (the Belgian Investment Company);
- **SSNUP** (Smallholder Safety Net Upscaling Program).

In 2025, 19 partners benefited from technical assistance projects, for a total amount of 966,871 euros (21 projects in total, of which 9 were completed and 12 are ongoing).

Technical assistance projects address a wide range of needs, from improving internal management to strengthening market positioning. Currently, 11 of these projects target MFIs, while 10 focus on agricultural co-operatives or SMEs.

ACTB

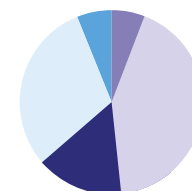
MFI in Sierra Leone,
partner since 2021

In 2021–2022, the microfinance institution ACTB conducted a pilot project aimed at developing an in-kind loan product, providing essential inputs to smallholder farmers. At the end of the harvest period, farmers repaid the cost of the support through the sale of their production. Following this pilot, ACTB benefited from a technical assistance project, which enabled it to engage consultants to improve the product based on the pilot's findings, with a view to scaling it up.

“The technical assistance project enabled ACTB to test and refine new approaches, engage the best local technical experts, and identify new ways to reach underserved rural communities.”

— Jack Ovens, Head of Business Development at Truestone (ACTB shareholder)

DISTRIBUTION OF TECHNICAL ASSISTANCE PROJECTS IN MICROFINANCE IMPLEMENTED IN 2025



- Capacity building
- Social and environmental performance management
- Operational improvements
- IT systems
- Business and corporate strategy

COPAK

Agricultural organization in DR Congo,
partner since 2018

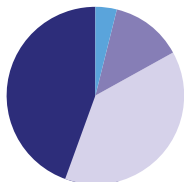
COPAK benefited from a technical assistance project with several components:

- improvement of IT infrastructure (hardware, software, etc.);
- alignment of financial management and accounting systems with required standards;
- implementation of a traceability system within the supply chain and training for co-operatives and their members, with a view to renewing certifications and complying with the new EUDR regulation.

“Alterfin gave us the flexibility we needed to lead our own growth strategy. We were able to redefine our priorities and negotiate with each service provider to determine the best contract implementation model.”

— Noa Rakotomanga, ESG Coordinator at Envirium Life Sciences

DISTRIBUTION OF TECHNICAL ASSISTANCE PROJECTS IN SUSTAINABLE AGRICULTURE IMPLEMENTED IN 2025



- Operational improvements
- IT systems
- Business and corporate strategy
- Institutional development



Cocoa producer,
DR Congo

© COPAK



STUDY: WHAT IMPACT DO WE HAVE IN WEST AFRICA?

Cocoa pod,
Côte d'Ivoire
© Alterfin

Every year, in addition to collecting data from all our partners, we conduct a more in-depth **post-investment impact study** with a number of our partners. We have developed a special strategy for this, which guides our methodology. With this study, we explore our impact on our partners and their beneficiaries.

When it comes to our partners, we have a direct impact on them through our financial and technical support. To measure this impact, we carry out **an annual additionality study**. The primary objective is **to assess Alterfin's added value for the partner** in question and other investors, if there are any. In 2025, we conducted an additionality study with four partners in West Africa.

In turn, our partners have a direct impact on their beneficiaries (on whom Alterfin therefore has an indirect impact). Before starting a partnership, we assess the potential impact for each partner. Once the partnership is established, we check to see whether we have genuinely achieved the desired impact by means of an impact study. In 2025, we conducted this study with two partners: **Ecookim and Financiera FDL**. You will find the results below in "Impact studies: Ecookim & Financiera FDL", on page 49.

Assessing the additionality of four partners

As part of our additionality study, we checked whether our investment met three criteria.

- **Pioneering:** are we the first investor for a partner, bridging critical financing gaps that hinder the partner's growth and development?
- **Catalyzing:** do our investments inspire the confidence and interest of other lenders, donors, and buyers, thereby enabling the partner to access new sources of financing and pursue its development and growth?
- **Tailored:** do our loans and our support meet our partners' specific needs and objectives so that they can provide their beneficiaries with optimal support?

Our additionality studies help us better understand our partners' experiences, with the ultimate aim of further enhancing our added value for our partners. The resulting information will shape our strategies in West Africa and across our entire portfolio.

ECOOKIM

Partner since 2011

Cooperative of cocoa and cashew nut
producers in Côte d'Ivoire



Supporting **43,881** farmers

Pioneering: Before 2011, Ecookim had limited access to financing because local banks demanded guarantees that the cooperative could not provide. This hindered its ability to buy and export its members' cocoa. Alterfin was the only credible and effective option at the time.

Catalyzing: The first loan strengthened Ecookim's credibility. As a result, Ecookim was able to sign partnerships with seven new cooperatives; it also obtained loans from four local banks and six impact funds, with Alterfin facilitating the process. Lastly, Ecookim was able to access certified markets (FairTrade, organic, Rainforest Alliance) and sign long-term contracts with environmentally conscious buyers.

Tailored: Ecookim appreciates Alterfin's flexibility, its understanding of the local market, and the adaptability of its terms (amount, duration, guarantees). Disbursements are made quickly and are tailored to the cooperative's actual needs. Lastly, Alterfin provides genuine support that goes beyond financing.

"Alterfin has made it possible for Ecookim to make significant strides. Today, the cooperative is seen as a reliable player, even by local banks. In an uncertain macroeconomic climate, Alterfin's financing makes it possible for Ecookim to continue to buy cocoa, honor its commitments, and support its members, despite economic pressures. Alterfin sets itself apart through its long-term approach, its familiarity with the realities on the ground, and its role as a partner rather than a mere donor."

Zié Ouattara, Chief Financial Officer

COCOASOURCE

Partner since 2025

Trading company, OCEAN/African Trade Winds buyer

- OCEAN entity (Côte d'Ivoire): cooperative of cocoa, rubber, cashew nut, coffee, sesame and soy producers
- ATW entity (Uganda): cocoa trader



Supporting **47,287** farmers

Pioneering: Before Alterfin's involvement, Cocoasource (CCS) had limited access to financing, which hindered growth and certification efforts. For ATW, Alterfin remains the first and only lender.

Catalyzing: Alterfin's support has enabled the company to become more structured, to strengthen its financial position, and to accelerate the development of technical assistance projects (traceability protocol for rubber, plot geolocation, digitalization). This has attracted other impact funds.

Tailored: CCS emphasizes the flexibility of Alterfin's financing, particularly short-term loans (12 months) that are provided and renewed as part of a seamless process. This has made it possible to meet immediate financial needs and fund programs with a longer-term impact. CCS also appreciates Alterfin's guidance and technical support. The annual due diligence process was particularly helpful in structuring their business.

"What stands out with Alterfin is its experience and in-depth understanding of crop financing in Africa. Alterfin isn't simply a lender: it's a genuine partner that understands the realities on the ground. Thanks to Alterfin's support, Cocoasource can secure its supply and adjust its credit lines, against a backdrop of soaring cocoa prices. At the same time, it helps us comply with increasingly stringent traceability and sustainability requirements, including the new European regulation."

Matthieu Vidal, Managing Director

SCEB

Partner since 2019

Cooperative of cocoa producers
in Côte d'Ivoire



Supporting **396** farmers

Pioneering: SCEB had previously received financing from Ethiquable, but as this was coming to an end, the cooperative urgently needed a new partner. Alterfin's first loan in 2019 therefore came at a critical time.

Catalyzing: The loan helped attract more buyers and producers (from 175 in 2019 to 300 today). Production volumes have only increased slightly (from 100 tons to 115 tons) because of an extensive drought affecting Côte d'Ivoire.

Tailored: SCEB appreciates the punctuality of Alterfin's disbursements and the fact that Alterfin does not require significant guarantees, something that limits the cooperative's access to loans from other sources. The flexibility of the repayment schedule is also vital. Alterfin's due diligence procedure gives the cooperative the impression that Alterfin is genuinely monitoring what it is doing. Lastly, it appreciates Alterfin's technical assistance and financial advice.

"At present, in Africa, and more specifically in Côte d'Ivoire, it is very difficult to work with local banks. However, working with Alterfin has increased local banks' confidence in us. SCEB has attracted two new microlending institutions, thanks to the cooperative's positive results."

Marc Amon Tanouh Frederic, Executive Director

SOCAK KATANA

Partner since 2017

Cooperative of cocoa producers
in Côte d'Ivoire



Supporting **4,375** farmers

Pioneering: Before Alterfin's involvement, Socak Katana had no access to financing. Through the FEFISOL fund, the cooperative received its first loan in 2016–2017, enabling it to purchase and sell 1,000 tons of Fairtrade cocoa. Without Alterfin's financing, this contract would not have been possible.

Catalyzing: Thanks to the successful management of this first loan and Alterfin's reputation, Socak Katana now enjoys greater trust from other financial institutions. For the 2024–2025 campaign, the cooperative was able to rely on five lenders. As a result, the cooperative has grown from 1,275 producers in 2016 to 4,375 today. Certification premiums have been redistributed in cash and reinvested in social projects.

Tailored: Alterfin offers the lowest interest rates and is valued for its clear due diligence process, fast disbursements, and open communication. In addition, Alterfin supports the cooperative in accounting matters and in preparing for compliance with EUDR standards.

"You are limited from the beginning: you haven't sold your cocoa yet, so you don't yet have the funds from this sale, but you already need to find a way to secure new financing with suppliers to continue the harvesting process. So when Socak received its first loan of 200,000 euros from Alterfin, it was a huge relief. Now, when buying cocoa, the company strategically distributes its inventory: a certain amount is put up for sale, depending on available cash flow, to generate revenue and reinvest in the harvesting process."

Savane Mamadou, General Manager

IMPACT STUDIES: ECOOKIM & FINANCIERA FDL

In 2025, we conducted impact studies with two of our partners. The first partner was **Ecookim**, an agricultural cooperative union in Côte d'Ivoire. The second partner was **Financiera FDL** (FFDL), a microfinance institution (MFI) in Nicaragua.

These impact studies serve two purposes:

- firstly, they measure the partner's impact on its beneficiaries' economic, social, and domestic situations;
- secondly, they assess the partner's longer-term impact on its beneficiaries' economic resilience.

Both aspects are important. Because **eradicating poverty is both a short- and long-term issue**. Beneficiaries' personal accounts of their recent experiences shed light on the day-to-day problems they face and the solutions provided by our partner. In contrast, respondents' long-term impressions help assess whether their situation has improved in the long term, indicating that solutions are available to them in the event of a financial setback.

Impact study methodology

To carry out these impact studies, we used methodologies that were inspired by Sensemaker. The **FarmVoices methodology** (for sustainable agriculture) and the **MFIPulse methodology** (for microfinance) were developed in partnership with the Voices that Count network. Both were inspired by the **Sensemaker methodology**, the leading authority for studies like these. What sets these methodologies apart is that they make use of both quantitative and qualitative data in the form of personal accounts from farmers and MFI beneficiaries.



During the first phase, we compile **personal accounts** through interviews that do not have a pre-established structure. The interview starts with an open-ended question, so as not to influence or guide respondents. This allows us to gather information on a wide range of topics. In practice, we ask respondents to tell us about an experience they have had with the partner over the past year. We then ask them to identify an emotion and a theme in relation to this experience. Through these individual accounts, we can identify trends that help us understand the partner's impact on the business activities of their beneficiaries and, more generally, on their lives.

The second phase involves presenting participants with a more traditional **multiple-choice questionnaire**. This assesses beneficiaries' relationships with Alterfin's partner, the economic improvements they have experienced, and the well-being of their families.

Ecookim: providing stability in a vulnerable sector

Introduction: the cocoa sector in Côte d'Ivoire

Côte d'Ivoire is **the world's leading producer of cocoa**, which is the backbone of its economy and a vital source of income for millions of rural households. The downside to this is that **its economy is particularly dependent on cocoa**. This product alone accounts for roughly 15% of the country's GDP and more than 40% of export revenue.

However, the cocoa sector is facing significant challenges: market price fluctuations, climate change, deforestation, limited access to financing and infrastructure, precarious working conditions, etc.

In response to these challenges, the Ivorian government has implemented various measures, including setting **a minimum purchase price** for cocoa and launching initiatives to promote sustainability. But this is not enough to **address structural weaknesses**: aging trees, dependence on intermediaries, and inadequate public services in rural areas. This results in many smallholder producers being trapped in poverty.

What does Ecookim do?

Founded in 2004, L'Union des Sociétés Coopératives Kimbê (Ecookim) brings together **31 cooperatives** and **represents more than 41,000 cocoa and cashew nut producers**. It is one of the country's largest networks of cocoa producers.

Ecookim's mission is reflected in the following objectives:

- representing and advocating for cocoa producers at national and international levels;
- facilitating market access for its producers, particularly by organizing the transport and distribution of their products;
- providing technical and financial support to improve productivity and production quality;
- providing services for rural communities: access to healthcare and education, infrastructure development, etc.

Alterfin has been a partner of Ecookim since 2011 and is its first international lender. Since then, we have provided the cooperative with **17 loans**, from the **first loan of 150,000 euros** to loans currently standing **at 2 million euros**.

What effects has this partnership with Ecookim had on agricultural activity and the general well-being of producers and their families? What aspects do producers appreciate most about this partnership? Our impact study sought to answer these questions.

75% of members are satisfied

To assess Ecookim's impact, we interviewed a representative group of **239 producers**, made up of 217 men and 22 women. Their farms have an average size of 5.3 hectares and they have worked with Ecookim for an average of five years.

We invited these producers to share their most significant experiences with Ecookim over the course of the last year. Firstly: **75% of these personal accounts highlighted positive experiences**.

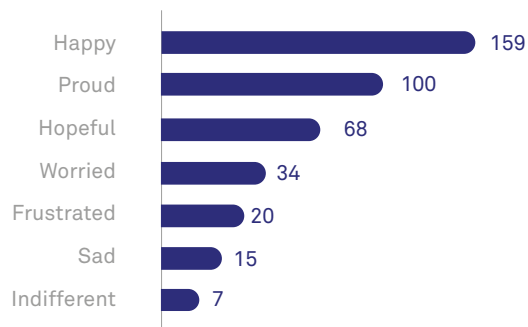
Ecookim's members are particularly appreciative of **how the cooperative helps them make their businesses stronger and more resilient** and supports their communities.

Negative personal accounts (16%), meanwhile, mentioned late payments, reduced bonuses, and a lack of support. Those who expressed mixed feelings said the support and information provided by the cooperative are not sufficiently regular or consistent.

Nevertheless, the vast majority feels happy and proud to work with Ecookim:

- more than 70% of producers believe the partnership is worthwhile.
- 95% of them choose to sell their produce to Ecookim because of genuine preference, rather than because of a lack of other options.
- 75% feel they are well understood and represented within the cooperative.

EMOTIONS ASSOCIATED WITH PRODUCERS' STORIES

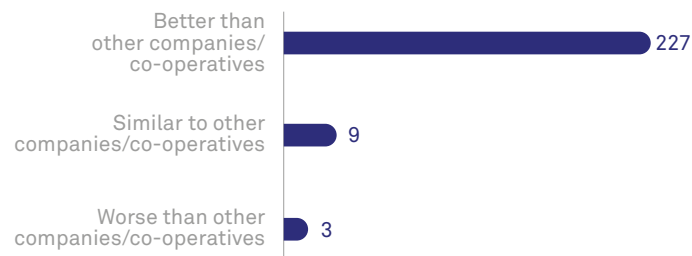


Economic impact

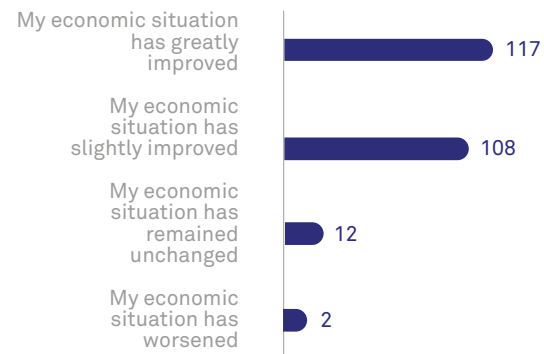
Although the base price of cocoa is set nationally, Ecookim pays its members **bonuses**, something that plays a key role in members' satisfaction.

94% of producers say their economic situation has improved since joining the cooperative and more than half even report a significant improvement.

PRICE PAID BY ECOOKIM TO PRODUCERS



EVOLUTION OF THE ECONOMIC SITUATION OF ECOOKIM PRODUCERS





What do Ecookim's members do with their income? **Most of them use it primarily to meet their household's needs** (60%); 30% split their investments between their business and their household; and the remaining 10% devote most of their funds to their business.

Ecookim's **most popular services** are:

- training courses (36%);
- the supply of inputs and/or equipment (21%);
- technical assistance (9%).

These services make it possible to produce quality cocoa and, consequently, access better-paying markets, which increases members' income.

The only area for improvement that would improve satisfaction and loyalty is **the punctuality of payments**. Although 56% of producers say they (almost) always receive their payments on time, 28% say this only happens "sometimes", while 16% say they never receive their payments on time

MOST APPRECIATED SERVICES PROVIDED BY ECOOKIM



Impact at the household level

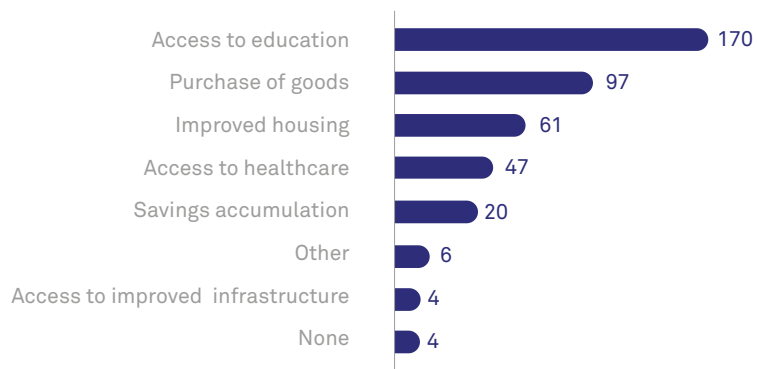
Beyond the impact on their farms, **98% of producers (almost all of them) say they have seen a significant improvement in their day-to-day lives.**

The **most significant impact on families** is felt in:

- access to education for children (42%);
- purchasing goods (24%);
- improved living conditions (15%);
- access to healthcare (12%).

But, most importantly, **Ecookim's members are less vulnerable than they were before**: more than half (57%) have been able to save enough money to deal with emergencies, while 25% rely on the cooperative to lend them money in the event of economic setbacks.

IMPROVEMENTS AT THE HOUSEHOLD LEVEL



Conclusion

The vast majority of positive personal accounts (75%) confirms the effective support that Ecookim provides these farming businesses. Thanks to training and the provision of inputs, **producers are seeing real increases in productivity, and their access to markets is improving.** These agricultural services are vital for Ecookim's members to remain competitive and ensure increased income in the long term.

However, the cooperative must work to **improve the consistency of its services and its communication to ensure its members' loyalty.** The same is true for the cooperative's **inconsistent payment schedules**, because the bonuses that supplement the minimum price set by the government play a vital role in improving producers' daily lives. These members are counting on them to be able to cover their family expenses and reinvest in their farms.

In terms of their families, improved access to education, the purchase of goods, and better living conditions demonstrate that **Ecookim's impact goes beyond the scope of farming, contributing more broadly to the development of rural communities.** This focus on education is particularly positive, given that the risk of child labor is high in Côte d'Ivoire.

Lastly, the majority of producers have **financial reserves and systems in place to cope with economic setbacks**; this is a significant step forward in a sector that is characterized by vulnerability.

In conclusion, Ecookim shows **strong potential for sustainable rural development.** With its ability to improve producers' economic stability and communities' resilience, the cooperative is contributing to the transformation of Côte d'Ivoire's cocoa sector.



FFDL: a microfinance institution that inspires confidence

Introduction: microfinance in Nicaragua

Nicaragua's economy is driven by agriculture, manufacturing, and services. Despite economic growth over the last few years, inequality, poverty, and limited access to financial services remain prevalent across the country.

Microfinance plays a vital role in Nicaragua's economic and social development, particularly in rural areas where access to traditional banking services is limited. Over the past few decades, it has helped improve financial inclusion and support for small-scale economic activities.

What does FFDL do?

Founded in 1989, Financiera FDL (FFDL) is one of Alterfin's oldest partners. In just a few decades, it has established itself as one of the largest and most respected microfinance institutions in Central America. Today, it serves more than **45,000 clients**, 76% of whom live in rural areas and 51% of whom are women.

FFDL has been committed to **responsible finance** from the beginning. Its priorities include:

- expanding access to financial services for rural communities and small businesses;
- supporting agricultural development and rural entrepreneurship through specialized financial products;
- strengthening the financial resilience of vulnerable populations by providing microinsurance, payment services, and financial education programs.

In addition to its financial services, FFDL actively contributes to community development through its **agricultural advisory programs** and **social impact initiatives**.

In 2002, Alterfin became FFDL's first international lender. Since then, we have provided them with **13 loans**. The first loan was for 160,000 dollars; today, this amount has grown to 2.5 million dollars. In addition, Alterfin became a **FFDL shareholder** in 2016, with a capital investment of 9.4 million dollars.

The aim of this impact study was for Alterfin to assess FFDL's contribution to financial empowerment and poverty reduction in Nicaragua. The study looks at how FFDL's financial services have influenced economic stability, business growth, and the overall well-being of its beneficiaries.

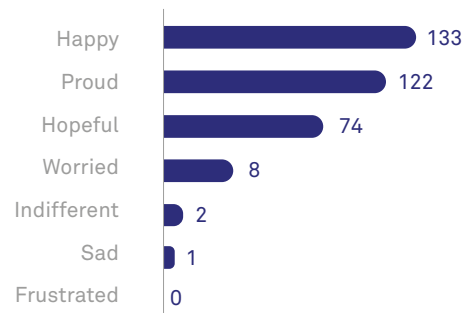
Loans that transform lives

This study is based on personal accounts and survey data from **187 clients**. For the first part of the study, we listened to clients' personal accounts. No fewer than 95% of these accounts were associated with positive emotions: a phenomenal score. The majority highlighted the transformative impact of loans, which have enabled FFDL's clients to **improve their living conditions and expand their business activities**.

It's not surprising then, that 75% say they choose FFDL because they prefer it, not because they have no other options. Clients report that the MFI's loans meet their needs, highlighting the following points:

- repaying their loan is not (or is rarely) a cause for concern (75%);
- FFDL's loan conditions seem easy to understand (85%);
- they consider FFDL's products to be better than those offered by other MFIs (96%);
- other aspects they prefer: interest rates (47%) and processing times (44%).

EMOTIONS ASSOCIATED WITH TESTIMONIALS FROM FFDL CLIENTS



) Economic impact

The figures regarding economic impact are equally impressive. **97% of clients have seen their economic situation improve after obtaining a loan**; 53% even say this improvement is significant.

When asked what they spend their loans on, responses were as follows:

- approximately 58% of clients use their loans for short-term objectives;
- around 38% use them to accomplish long-term objectives; this suggests growing financial stability and overall development;
- just 4% use them primarily to meet their basic daily needs.

EVOLUTION OF THE ECONOMIC SITUATION OF FFDL CLIENTS



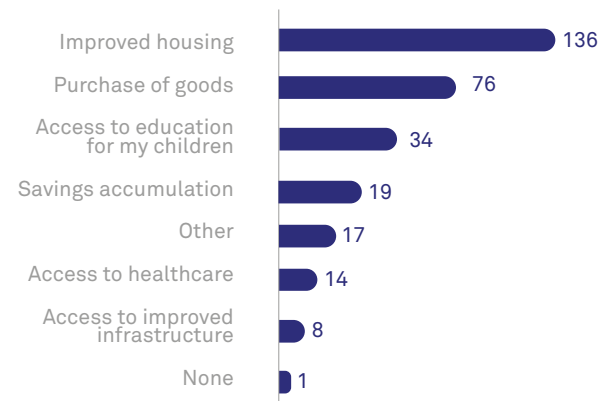
) Impact on families

80% of respondents have seen their domestic situation improve.

These improvements mainly relate to:

- living conditions (45%);
- purchasing goods (25%);
- access to education for children (12%).

IMPROVEMENTS FOR FAMILIES



In the event of an emergency, most of FFDL's clients can use their savings (63%), while a new loan from FFDL is also an option (24%). As such, we see **real economic resilience among most respondents**.

Conclusion

As these personal accounts and the figures confirm, FFDL's financial services enable rural families to establish a more stable livelihood and become more resilient.

Thanks to FFDL's loans, clients can build up savings gradually, moving away from survival mode, and can now make longer-term plans. The indicator that's proof of this change: the fact that loans are only rarely used to cover basic needs. They are used to develop businesses, invest in agricultural inputs, and finance children's studies. This can therefore be described as genuine financial empowerment: **loans are no longer merely a safety net, but a tool for longer-term development.**

The lending process itself is seen just as positively: during our interviews, clients repeatedly praised FFDL's responsiveness, efficiency, and respectful behavior. All this enables the MFI to **develop solid trust-based relationships with its clients.**

In conclusion, FFDL is not just expanding access to loans. It enables rural families to manage risks differently, seize opportunities, and look to the future. With their client-centric approach and focus on impact, this MFI supports entrepreneurship, improves people's livelihoods, and is building the foundations for long-term resilience. Its ability to **combine financial discipline and a strong commitment to the community** proves that inclusive finance, when undertaken responsibly, can be a powerful driver of rural development in Nicaragua.



Market vendor,
Nicaragua

© Alterfin

9

Our financial performance

The figures below are based on our annual financial statements, audited by the firm of auditors Forvis-Mazars (see Appendix 3 on page 73 for more information). For a better understanding of the financial terms used in this chapter, please refer to the glossary on page 67.

BALANCE SHEET

Assets: decrease in the investment portfolio (in euros)

The **balance sheet decreased by 3% in 2025**. This decrease is due to the decline in the volume of our loan portfolio, expressed in euros.

The total portfolio of investments under Alterfin's management is split between financing, in the form of loans, and financial fixed assets, which are equity interests in partner institutions. Both decreased in 2025.

Our net loan portfolio decreased by 7% in comparison to 2024 to about 92 million euros. This decrease is the result of the US dollar weakening against the euro. Given that 85% of our portfolio consists of dollar-denominated loans, a decline in the USD/EUR exchange rate automatically reduces the value of the portfolio when expressed in euros. Without this currency exchange effect, our portfolio would have grown by 3% (see also “The impact of the euro/dollar exchange rate”, p. 23).

Our financial fixed assets decreased by 4%. This is due to a fall in the value of one of our investments in local currency, following the depreciation of that currency against the euro.

For more information on the reasons behind the changes in our investment portfolio, please read Chapter 7: “Our sustainable investments”, page 20.

Contrary to the decrease observed in our portfolio of investments under management, the value of our investments in euros increased by almost 5%. This growth is due to the decline in the volume of our euro-denominated loan portfolio, which freed up liquidity.

Balance sheet expressed in euros and presented before the distribution of results	2025	2024	2025-2024 difference
Fixed assets	3,467,796	3,611,518	-4%
Intangible fixed assets	287,461	314,856	-9%
Tangible fixed assets	27,121	10,795	151%
Financial fixed assets	3,153,215	3,285,867	-4%
Current assets	158,045,530	161,956,584	-2%
Net loan portfolio	91,988,344	99,253,363	-7%
Investments in euros	65,345,069	61,950,842	5%
Other accounts receivable	712,118	752,379	-5%
Transitory accounts (interest to be received)	2,791,423	3,013,247	-7%
TOTAL ASSETS	164,304,750	168,581,348	-3%

Figures may be subject to rounding.

Why do we have so many investments in euros?

Capital that is not directly lent to our partners is invested in low-risk financial products with stringent ESG requirements (environmental, social, and governance criteria) to ensure a return on this money. These are the “investments in euros” that you will find in the Assets table. These investments play an essential role, acting as a guarantee for the majority of the loans we take out in dollars.

Balance sheet expressed in euros and presented before the distribution of results	2025	2024	2025-2024 difference
Equity	73,104,599	74,181,468	-1%
Capital contributions	69,697,875	70,810,938	-2%
Subsidies	2,107	4,413	-52%
Total reserves	2,671,395	2,527,084	6%
Accumulated result	733,222	839,033	-13%
Debt	90,273,842	93,145,068	-3%
Long-term debt (> 1 year)	8,983,125	17,035,843	-47%
Short-term debt (< 1 year)	78,864,078	73,442,692	7%
Other debt	2,426,639	2,666,533	-9%
Transitory accounts (interest to be paid)	926,310	1,254,812	-26%
TOTAL LIABILITIES	164,304,750	168,581,348	-3%

Figures may be subject to rounding.

Liabilities: a slight decrease in capital and debt

Despite a stable membership base, capital contributions declined slightly (-2%) in 2025. We see two reasons for this:

1. **the abolition of the tax break** (a 5% tax reduction) for investments in shares of recognized development funds. This government measure may have discouraged individual co-op members from buying new shares;
2. there were **no significant new investments from institutional investors** in 2025, in contrast to recent years.

To find out more about what we plan to do to reverse this trend, read the “Perspectives” chapter on page 64.

Debt decreased by 3% due to the dollar’s depreciation against the euro. As we borrow in dollars to provide dollar-denominated loans to our partners, the majority of our debts are in that same currency. Once converted to euros, they also lost value in 2025. Exchange rate fluctuations always affect our financial statements in both directions.

The significant reduction in our debt relative to our equity led to **an improvement in the debt*/equity ratio**: it fell from 1.22 at the end of 2024 to **1.20 at the end of 2025**.

* Excluding other liabilities

PROFIT AND LOSS STATEMENT

In 2025, we closed the year with **an increase in gross operating margin of 16%**. This is primarily due to a reduction in our financial expenses and an increase in our financial income, which offset the decline in our operating income and the rise in our operating expenses.

However, due to lower recoveries on our loans in default, net income is slightly down in comparison to 2024, amounting to **733,222 euros**.

An increase in gross operating margin

Alterfin's gross operating margin increased by 16%, primarily because of three factors.

Firstly, **financial costs decreased by 26%**, which can be explained by a combination of several factors:

- the decline in average debt volume, which automatically reduced interest expenses;
- the decline in the key interest rates to which our loans are linked;
- the positive impact of the dollar's depreciation against the euro;
- and the renegotiation of certain loan terms.

Secondly, **income from euro-denominated investments increased**, thanks to:

- the **increase in the average return** on these investments;
- **exceptional income from early repayment** of callable bonds (our portfolio of euro-denominated investments consists primarily of bonds).



Coffee producers on their way to the fields, Laos
© Alterfin

Profit and loss statement expressed in euros	2025	2024	2025-2024 difference
Financial and operational income	9,782,153	10,463,166	-7%
- Income from Alterfin's portfolio	7,392,491	8,457,109	-13%
- Income from the portfolio under Alterfin's advisory	366,401	304,489	20%
- Commission from technical assistance missions	36,839	25,739	43%
- Income from investments in euros	1,986,421	1,675,829	19%
Financial costs	-3,653,870	-4,960,606	-26%
Financial margin	6,128,283	5 502 560	11%
Operational costs	-3,518,188	-3 244 409	8%
- Staff	-2,651,835	-2,495,726	6%
- Office and marketing	-532,074	-472,997	12%
- Services	-269,977	-74,800	261%
- Costs related to portfolio monitoring	-39,605	-87,183	-55%
- Costs related to recovery of loans in default	-24,697	-113,703	-78%
Gross operating margin	2,610,095	2,258,151	16%
Cost of risk	-1,609,124	-1,239,388	30%
- Write-downs on loans	-1,635,381	-1,672,282	-2%
- Recovery and write-backs on loans	208,881	683,017	-69%
- Write-downs on investments	-50,000	-75,000	-33%
- Premiums: insurance and guarantees for the portfolio ¹	-132,623	-175,123	-24%
Net operating margin	1,000,971	1,018,763	-2%
Currency operations: net result	-2,678	-15,173	-82%
Extraordinary result	-85,383	9,600	-989%
Net operating margin before taxes	912,911	1,013,190	-10%
Taxes	-179,689	-174,156	3%
NET RESULT	733,222	839,033	-13%

Figures may be subject to rounding.

¹ Reclassification of the "Premiums: insurance and guarantees for the portfolio" line to the "Cost of risk" section.

Lastly, **income from the portfolio under Alterfin's advice and commissions on technical assistance assignments** grew again this year.

These positive factors affecting the gross operating margin were offset by two challenges.

Firstly, **income from Alterfin's portfolio fell**. The first reason for this decline is **the lower average portfolio volume**. As mentioned in the chapter "Our sustainable investments", delayed loan renewals in microfinance played a key role in this development.

The second reason is **the depreciation of the dollar against the euro**, the role of which, both positive and negative, has already been mentioned on several occasions. This had a negative impact on income from the portfolio because, once converted into euros, the amount is lower.

Moreover, **operational costs increased by 8%**, primarily because of the effect of the **increase in staff costs** and **expenses incurred to comply with requirements to obtain an Alternative Collective Investment Fund license from the FSMA**.



A slight decrease in net profit

Despite the increase in our gross operating margin, we ended the year with a slightly lower net profit than in 2024, primarily because of:

- **lower recovery rates on loans in default¹**;
- an exceptional loss resulting from a **corrective tax adjustment**, which we are currently contesting with the tax authorities.

However, this result ensures strong financial stability and allows us once again to offer our cooperative members a dividend of 1%, subject to approval by the Annual General Meeting in April 2026.

¹ Recoveries are the result of measures we take to recoup our investments in the event of a loan default. By their very nature, they vary significantly from one year to the next, which explains the substantial annual fluctuations in these figures in our profit and loss statement. The cost of risk compared to the average volume of the investment portfolio remains in line with figures from the last ten years.

10

Perspectives

All it took was a few bad harvests in Côte d'Ivoire and Ghana, the world's largest cocoa-producing countries, for the global market to go into a frenzy and for prices to skyrocket. Then a good harvest led to producers ending up with a surplus the following year. The result? A sudden price drop of 50 to 60% in just a few months.

The extreme volatility in cocoa prices is a good example of the structural instability that is an unfortunate part of daily life for our partners. When it is not caused by unpredictable weather, it is geopolitical tensions, pressure on public budgets, or instability in agricultural markets that come into play – or a combination of all of the above.



At the time of writing this annual report, the conflict in the Middle East threatens to have serious consequences for the global economy if it continues. Any prolonged disruption to trade routes has immediate and catastrophic consequences, while rising oil and gas prices are likely to send inflation soaring once again.

All these factors accumulate, interact, and exacerbate one another, making poverty and vulnerability, now more than ever, a multidimensional issue that is very difficult to address.

In this context, the response must also be multidimensional.

STRATEGIC CLARITY

Alterfin's impact strategy will integrate all these aspects more explicitly in 2026, with measurable objectives and enhanced verification mechanisms.

The development of the concept of "human return" is part of this shift. In the coming years, our investment processes and our reporting practices will be even more focused on achieving this objective.

In addition, we will continue to explore new geographic regions and develop new products and services to better meet our partners' needs. The aim is to maximize their "human return" by empowering them to become drivers of development in the economies and communities in which they operate.

ADAPTING TO A STRICTER REGULATORY FRAMEWORK

There are necessary steps on the path to growth. In 2026, we are going to submit our application for an OPCA (Organisme de Placement Collectif Alternatif or Alternative Collective Investment Fund) license. We prepared for this throughout 2025 by strengthening our governance, risk management and compliance systems.

As a reminder, Belgian law on OPCA complies with the European AIFM (Alternative Investment Fund Managers) Directive, a regulatory framework that governs alternative investment funds in the European Union. It aims to ensure investor protection and prevent systemic risks.

Obtaining this license requires rigorous supervision and transparent procedures. This will therefore entail more rules to follow but will enhance our credibility and institutional strength – two vital qualities in times of instability – without compromising our cooperative identity.

PARTNERSHIPS AND SYSTEMIC ALIGNMENT

When vulnerability is systemic, we must respond with systemic solutions. One such solution is collaboration. The past year has confirmed our belief that we must work together to move forward more effectively.

We have always actively sought to develop partnerships and strengthen the ecosystem around us. First and foremost, this is a way of learning and growing.

For example, in addition to our collaboration with KU Leuven, one of Belgium's most highly regarded universities, we have developed a partnership with the Agora Global consultancy firm. Their work on systemic impact provides a framework to analyze the contribution of financial stakeholders to sustainable structural changes. This partnership will help us better understand how Alterfin's capital interacts with local markets and ecosystems over time.

In 2026, we will also work to consolidate and further develop our collaboration with investors that share our ideas. Co-investment and advisory structures enable us to go further with our solidarity capital, without putting us at risk. Discussions are ongoing with several funds, both in Belgium and internationally.

In addition, we are actively working to develop collaborations with NGOs whose work complements our own. They often already support agricultural SMEs or MFIs that, once viable, could become valuable partners. The idea is to formalize this dynamic at a time when social funding has been cut: by helping these agricultural SMEs and MFIs become strong enough to attract investment, and by continuing to support them after the investment.

These partnerships also enable us to scale up our activities, but that is not their sole objective: the aim is also to coordinate efforts among impact-driven organizations to ensure consistency and collective efficiency. This is crucial in times of adversity.

Family on their way to school built thanks to fair trade premiums, Laos

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PROTECTING THE COOPERATIVE'S CAPITAL

In addition to our efforts to foster institutional partnerships, we remain committed to safeguarding Alterfin's capital, which is key to the cooperative's long-term success. Given that this capital has slightly decreased for the first time in our history, we must analyze the reasons behind it.

In 2026, we will focus particularly on facilitating the intergenerational transfer of shares, strengthening member engagement, and managing capital with appropriate caution. After all, the abolition of tax incentives in Belgium has changed the environment in which our cooperative operates, which means greater efforts must be made to maintain stability.

This stability relies both on cooperative capital and on institutional partnerships, each reinforcing the other. Together, they form a foundation that enables solidarity capital to remain resilient through economic cycles and policy changes.

HUMAN YIELD

In 2025, we chose to clarify what has guided Alterfin for almost three decades with the concept of "human yield". This is not a slogan; it is our commitment to act responsibly.

Indeed, we call ourselves Humanity Investors. Yes, we are investors, but our capital is used not to maximize dividends. It is used to strengthen human and environmental resilience in contexts where vulnerability is structural.

Our model remains unchanged, but our primary responsibility is now clearer. And in a world in which crises are frequent, this clarity of our role is ever more critical. It is a form of discipline that will continue guiding us in 2026.

ANNEX 1: GLOSSARY

Partners refers to all organizations that have received a loan from Alterfin or a third-party loan for which Alterfin acts as advisor, as well as all partners in which Alterfin holds an operational financial asset.

Alterfin's gross loan portfolio refers to the outstanding principal balance of all loans to partners managed by Alterfin, including current and overdue loans, but excluding loans that have been written off and interest on current or overdue loans.

Financial assets mainly consist of equity participations in partner institutions, with the ultimate aim of supporting Alterfin's activities and mission.

Alterfin's total investment portfolio under management refers to the sum of Alterfin's gross loan portfolio and its financial assets.

Alterfin's advisory loan portfolio refers to the outstanding principal balance of all loans to partners granted by third parties that receive advisory services from Alterfin, including current and overdue loans.

Alterfin's total investment portfolio under management and advisory refers to the sum of Alterfin's total portfolio under management and its advisory portfolio.

Alterfin's net loan portfolio refers to the gross loan portfolio minus value adjustments for potential defaults. To anticipate possible losses, Alterfin records value adjustments for all defaulted loans, based in particular on their age and the probability of repayment.

Restructured loans are loans for which the original repayment conditions have been modified, for example through an extension of the repayment period.

Defaulted loans are loans with overdue payments.

Foreign exchange risk refers to the risk of financial loss caused by fluctuations in exchange rates in international investments involving multiple currencies. Hedging against this risk is possible, but it becomes more costly in uncertain economic contexts and/or when exchange rates are volatile.

ANNEX 2: ADDITIONAL INFORMATION FOR THE IMPACT SECTION OF ALTERFIN'S ANNUAL REPORT OF 2025

Periodic disclosure for the financial products referred to in Article 9, paragraphs 1 to 4a, of Regulation (EU) 2019/2088 and Article 5, first paragraph, of Regulation (EU) 2020/852

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.

Product name: Alterfin SC
Legal entity identifier: 5493007UEXFOEDW8L056

Sustainable investment objective

Did this financial product have a sustainable investment objective?	
☒ Yes	☐ No
☐ It made sustainable investments with an environmental objective: ____% ☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy ☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ It promoted Environmental/Social (E/S) characteristics and while it did not have as its objective a sustainable investment, it had a proportion of ____% of sustainable investments ☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy ☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy ☐ with a social objective
☒ It made sustainable investments with a social objective: 100%	☐ It promoted E/S characteristics, but did not make any sustainable investments

- **To what extent was the sustainable investment objective of this financial product met?**

The overall sustainable investment objective of Alterfin is in its mission.

Alterfin's mission is to improve the livelihoods and living conditions of socially and economically disadvantaged communities, predominantly living in rural areas of low- and middle-income countries around the world.

The social objectives promoted by Alterfin relate to poverty alleviation as envisaged by its mission to serve low-income communities in low and middle income countries.

Alterfin measures the social objectives of our financial product through four impact pathways:

- Financial inclusion for unbanked or underserved populations.
- Market access for smallholder farmers.
- Missing middle investments to support rural enterprises.
- Supporting sustainable agriculture investments.

Alterfin does not designate a reference benchmark to assess its attainment of these social characteristics. Overall, it can be concluded that the sustainable investment objectives of Alterfin over 2025 were met. More information on the sustainability indicators can be found in the 'Our Impact' chapter in Alterfin's Annual Report 2025, on page 36.

- **How did the sustainability indicators perform?**

More information on the sustainability indicators can be found in the 'Our Impact' chapter in Alterfin's Annual Report 2025, page 36. This chapter provides an overview of our performance on the four impact pathways and is supplemented by in-depth impact studies for two investments.

- **...and compared to previous periods?**

More information on the sustainability indicators of the previous periods can be found in the 'Our Impact' chapter in Alterfin's Annual Report 2024 on pages 39-57 and Annual Report 2023 on pages 39-56.



Sustainability indicators measure how the sustainable objectives of this financial product are attained.

- **How did the sustainable investments not cause significant harm to any sustainable investment objective?**

Alterfin has an Environmental and Social Risk Policy (“E&S Policy”) in place. Alterfin uses an Exclusion List that is aligned with the International Finance Cooperation (“IFC”) and the Harmonized European Development Finance Institutions (“EDFI”) Exclusion List to ensure investments do not cause significant harm to the sustainable investment objectives. Any investee carrying out activities that violate said Exclusion List is not considered for investment and all existing investees are contractually bound to remain in compliance with this Exclusion List.

More information can be found in the E&S Policy: <https://www.alterfin.be/publications/environmental-social-risk-policy>

In addition, Alterfin has developed a custom environmental and social due diligence tool (“due diligence tool”) that further analyses environmental and social risks relevant to the sector and operations and the positive impact potential of each investment. The due diligence tool is designed to assess and monitor the risks and impacts of all its sustainable investments.

The due diligence tool is used at the due diligence stage and informs all investment decisions-makers of Alterfin for new and existing investments. The environmental and social risks and impact screening is fully integrated in the due diligence process. The positive screening for creating environmental and/or social impact is further complemented by annual impact studies on selected investments to evaluate the impact at the investee and beneficiary levels.

In 2025, all sustainable investments complied with the exclusion list and did not cause harm to any environmental and social investment objective as confirmed by the E&S due diligence.

- **How were the indicators for adverse impacts on sustainability factors taken into account?**

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.

The identification and assessment of the relevant principal adverse impacts according to the principal adverse impacts on sustainability factors as stipulated in Table 1, 2, and 3 of the SFDR is carried out at the level of the investees financed using Alterfin’s due diligence tool.

In the above-mentioned due diligence tool, Alterfin captures relevant aspect of the social and employee, respect for human rights, anti-corruption and anti-bribery matters principal adverse impacts and environmental and other climate-related principal adverse impacts, to the extent these are in line with the size and scope of the operations of the investees.

In 2025, all new sustainable investments have been assessed using the above-mentioned due diligence tool.

More information can be found in the E&S Policy: <https://www.alterfin.be/publications/environmental-social-risk-policy>

More information on the methodologies how the adverse impacts on sustainability factors are considered can be found in the Principal Adverse Impact Statement 2025: <https://www.alterfin.be/page/sustainability-related-disclosures>

- **Were sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:**

The microfinance and agricultural investees that Alterfin invests in are not participants in the UNGC principles or OECD Guidelines for Multinational Enterprises given the size of their operations.

However, Alterfin's custom due diligence tool includes the relevant components of the UN Guiding Principles on Business and Human Rights, OECD Guidelines for Multinational Enterprises, IFC Performance Standards and sector specific standards such as FAO Environmental and Social Sustainability Standards, CERISE-SPTF Universal Standards for Social and Environmental Performance Management and the Client Protection Principles to the extent applicable to the nature of investments.

- **How did this financial product consider principal adverse impacts on sustainability factors?**

The identification and assessment of the relevant principal adverse impacts according to the principal adverse impacts on sustainability factors as stipulated in Table 1, 2, and 3 of the SFDR is carried out at the level of the investees financed using Alterfin's due diligence tool.

In the above-mentioned due diligence tool, Alterfin captures relevant aspect of the social and employee, respect for human rights, anti-corruption and anti-bribery matters principal adverse impacts and environmental and other climate-related principal adverse impacts, to the extent these are in line with the size and scope of the operations of the investees.

In 2025, all new sustainable investments have been assessed using the above-mentioned due diligence tool.

More information on the methodologies how the adverse impacts on sustainability factors are considered can be found in the Principal Adverse Impact Statement 2025: <https://www.alterfin.be/page/sustainability-related-disclosures>

- **What were the top investments of this financial product?**

The identification and assessment of relevant principal adverse impacts on sustainability factors, in accordance with Tables 1, 2 and 3 of the SFDR, are carried out at the level of the financed entities using Alterfin's internal due diligence tool.



Largest investments	Sector	% Assets	Country
COCOASOURCE SA	Agriculture	3,55	International
FINANCIERA FDL S.A.	Microfinance	3,06	Nicaragua
ASA TANZANIE	Microfinance	3,02	Tanzania
ONE PUHUNAN	Microfinance	3,02	Philippines
BAILYK FINANCE	Microfinance	2,76	Kyrgyzstan
VISION FUND INTERNATIONAL	Microfinance	2,59	International
ASA INTERNATIONAL (KENYA)	Microfinance	2,59	Kenya
LOLC	Microfinance	2,59	Cambodia
OXUS LLC MCO TADJIKISTAN	Microfinance	2,50	Tajikistan
ECOOKIM	Agriculture	2,03	Côte d'Ivoire

The list includes **the investments constituting the greatest proportion of investments of the financial product** during the reference period which is: 2025

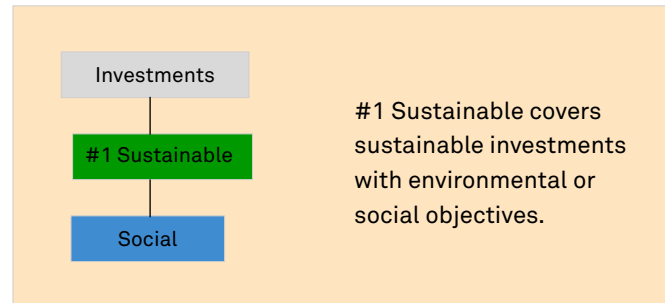


Asset allocation describes the share of investments in specific assets.

What was the proportion of sustainability-related investments?

- **What was the asset allocation?**

100% of Alterfin's investments are sustainable investments with a social objective as of 31 December 2025.



- **In which economic sectors were the investments made?**

The sustainable investments are made are 25% in the agriculture sector (in agricultural small and medium-sized enterprises and cooperatives), 72% in the financial industry (microfinance institutions), and 3% in funds and social investments as of 31 December 2025.



To what extent were sustainable investments with an environmental objective aligned with the EU Taxonomy?

Not applicable. Alterfin has a social sustainable investment objective and no environmental objective, thus it has not committed to making sustainable investments aligned with the environmental objective of the EU Taxonomy Regulation.

- **Did the financial product invest in fossil gas and/or nuclear energy related activities complying with the EU Taxonomy¹?**

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852 establishing a list of **environmentally sustainable economic activities**. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.

- **What was the share of investments made in transitional and enabling activities?**

Not applicable. Alterfin has a social sustainable investment objective and no environmental objective, thus it is not making sustainable investments aligned with the transitional and enabling activities of the environmental objectives of the EU Taxonomy Regulation.

- **How did the percentage of investments aligned with the EU Taxonomy compare with previous reference periods?**

Not applicable. Alterfin has a social sustainable investment objective and no environmental objective, thus it has not committed to making sustainable investments aligned with the EU Taxonomy Regulation.

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do no significant harm to any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.



What was the share of sustainable investments with an environmental objective that were not aligned with the EU Taxonomy?

Not applicable. Alterfin has a social sustainable investment objective and no environmental objective, thus it has not committed to making sustainable investments aligned with the EU Taxonomy Regulation.



What was the share of socially sustainable investments?

100% of Alterfin's investments are sustainable investments with a social objective as of 31 December 2025.



What investments were included under "not sustainable", what was their purpose and were there any minimum environmental or social safeguards?

Alterfin may hold cash, cash equivalents and other short-term liquidity reserves, and may hold positions used for treasury and risk management/hedging purposes. These holdings are ancillary to and not part of Alterfin's sustainable investment objective and excluded from the calculation of sustainable investments.



What actions have been taken to attain the sustainable investment objective during the reference period?

All new and renewal investments underwent an E&S due diligence designed to assess the unique characteristics of Alterfin's investments.

All investments comply with Alterfin's Exclusion List. Alterfin engaged with the investees during the due diligence, monitoring and technical assistance activities.

Alterfin undertook impact evaluation of two of its investees to understand the social impact as

demonstrated in the Annual Report 2025 and Impact Studies published on Alterfin's website.

Alterfin also sought active collaboration with like-minded organizations and sector initiatives.



How did this financial product perform compared to the reference sustainable benchmark?

- How did the reference benchmark differ from a broad market index?

Not applicable. Alterfin does not use a reference benchmark for the purpose of attaining the sustainable investment objectives.

- How did this financial product perform with regard to the sustainability indicators to determine the alignment of the reference benchmark with the sustainable investment objective?

Non applicable. Alterfin n'utilise pas d'indice de référence pour atteindre ses objectifs d'investissement durable.

- How did this financial product perform compared with the reference benchmark?

Not applicable. Alterfin does not use a reference benchmark or broad market index.

- How did this financial product perform compared with the broad market index?

Not applicable. Alterfin does not use a reference benchmark for the purpose of attaining the sustainable investment objectives.

Reference benchmarks are indexes to measure whether the financial product attains the sustainable objective.

ANNEX 3: EXTERNAL AUDIT

The audit of the company's financial position, its financial statements, and their compliance with the Belgian Code of Companies and Associations and the articles of association is entrusted to a statutory auditor. The statutory auditor is appointed by the annual general meeting of shareholders and selected from among the members, whether natural or legal persons, of the Belgian Institute of Registered Auditors. The responsibilities and powers of the statutory auditor are those conferred by law:

- The annual general meeting determines the number of statutory auditors and their remuneration, in accordance with the law.
- Statutory auditors are appointed for a renewable term of three years. They may only be dismissed by the annual general meeting for valid reasons.
- The Audit, Finance and Risk Committee assesses the effectiveness, independence and objectivity of the external auditor with regard to the following aspects:
 - The content, quality and insights provided in the main plans and reports of the external auditor, particularly those summarizing the audit work carried out on the risks identified by Alterfin;
 - Engagement with the external auditor during Committee meetings;
 - The reliability of the external auditor in handling key accounting principles;
 - The provision of non-audit services.

For the financial year ending 31 December 2025, professional services were provided by Forvis Mazars Réviseurs d'Entreprises SRL, duly incorporated and validly existing under the laws of Belgium, with its registered office at

Avenue du Boulevard 21 b 8, 1210 Brussels, Belgium, registered in the Brussels Register of Legal Entities under company number 0428.837.889, and its respective affiliates.

The mandate of Forvis Mazars began on the date of the general meeting of 20 April 2024. Forvis Mazars serves as the statutory auditor of the company for a period of three years, ending after the ordinary general meeting in 2027, which will be called to approve the accounts for the year 2026.

ANNEX 4: CALCULATION OF ASSETS UNDER MANAGEMENT AND IMPLICATIONS IN TERMS OF FSMA STATUS

Since 2010, Alterfin has been accredited as a development fund within the meaning of the Law of 1 June 2008 introducing a tax reduction for investments in shares of development funds for microfinance in developing countries.

In 2014, following the transposition of Directive 2011/61/EU into the Belgian AIF (Alternative Investment Fund) Law of 19 April 2014, Alterfin, as an AIF, submitted an application to the Financial Services and Markets Authority (FSMA) for inclusion on the AIF list.

As a result, the FSMA registered Alterfin as a Belgian-law AIF manager, self-managed and small in size, in accordance with Article 106 of the AIF Law. This provision considers an AIF to be small if its assets under management ("AuM") do not exceed 100 million euros when leverage is applied. The method for calculating AuM is further defined in Articles 2, 7 and 8 of Delegated Regulation (EU) No. 231/2013.

Alterfin's dual status as both a development fund and a self-managed small-scale AIF manager allowed it to benefit from a regulatory exemption.

More specifically, it was exempt from certain provisions of the AIF Law and did not require an FSMA licence to operate. In accordance with Article 107 of the AIF Law, Alterfin was only required to register with the FSMA by way of notification, rather than obtaining formal authorisation.

However, in January 2025, following guidance from the FSMA, Alterfin concluded that its assets under management now exceeded the 100 million euros threshold (see table below). This calculation, based on applicable law, includes the total balance sheet as well as the notional values of all off-balance sheet swaps and derivatives. Although, in January 2025, the Ministry of Finance renewed Alterfin's development fund status for an additional five years, the anticipated loss of its status as a small-scale AIF manager now requires it to apply for an FSMA licence and to comply with more extensive reporting obligations.

In consultation with, and under the supervision of, the FSMA, Alterfin is preparing to transition to a full-scope (or standard) AIF manager regime, together with the associated obligations. The process, which began at the start of 2025, is expected to be completed during the second half of 2026. During this transition period, Alterfin will continue to operate as usual.

Calculation of Assets under Management 2025, in euros*	
Total assets	164,304,750
Foreign exchange hedging	38,028,743
Interest rate swaps	23,803,249
Total assets under management as at 31/12/2025	226,136,743

* According to the FSMA definition

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